



HANDBOOK ON COOPERATIVE LAWS IN ANDHRA PRADESH



**Commissioner For Cooperation and
Registrar of Cooperative Societies,
Government of Andhra Pradesh,
Hyderabad.**

**HANDBOOK ON COOPERATIVE LAWS IN
ANDHRA PRADESH**

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J.C. Sharma, IAS
Commissioner for Cooperation
and Registrar of Cooperative
Societies

FOREWORD

It gives me great pleasure to bring out this Hand Book of Cooperative Laws". At the outset I express my sincere thanks to Sri Pankaj Dwivedi, I.A.S., Principal Secretary to Government (Cooperation & Agricultural Marketing Department) as the Hand Book is his brain child. It all started with his suggestion when we (Additional Registrars and myself) called on him on 11-9-2007 after he had newly joined the post. He suggested that the Commissioner for Cooperation and Registrar of Cooperative Societies may bring out a Hand Book of Cooperative Laws, by reading of which one can know the important provisions of the Cooperative Acts and Rules without actually reading the bulky Act/Rules book.

After detailed discussion whether the work should be entrusted to an outsider i.e. a retired senior officer or should be taken up in house, we have decided to go for the in house option. Basically, I wanted to take this opportunity to go through each and every provision of the Law in detail. Sri P.Basanth Kumar, Additional Registrar has volunteered to write the basic draft which was to be amended/improved by the other three Additional Registrars i.e. Sri M.P.Subramaniam, Sri K.Ganpathi, Sri Ramananda Swamy and myself. Accordingly, Sri Basanth Kumar has prepared various chapters which were vetted by us. Thus the main credit for preparation of this Hand Book goes to Sri Basanth Kumar who put many extra hours and worked very sincerely. I express my sincere gratefulness to him. I am also grateful to Sri Subramaniam, Sri Ganapathi and Sri Ramananda Swamy who worked as a team and contributed their mite in this work. Thanks are due to Sri V.Nageswara Rao, Joint Registrar (Head Office), V.Sree Rama Rao, Dist.Coop.Officer, East Godavari District, Sri

T.Sreenivasulu, Dist. Coop. Officer, Ranga Reddy, Sri G.V.Chandramouleswara Rao, Dist.Coop.Officer, Khammam, Sri P.Jagannadha Rao, Dist.Coop.Officer, Guntur, Sri G.Ananth, Assistant Registrar, APCOB and Sri N.Janaki Rama Rao, DR/OSD, Mahaboobnagar and special thanks to Sri Vasantha Madhava Rao, Additional Registrar(Retd.), Sri D.Chenna Kishan, Joint Registrar(Retd.), Sri P.V.Brahmam, General Manager(Retd.), APCOB, and Sri N.K.D.Prasada Rao, Deputy Registrar (Retd.) who have taken all the pains to go through the entire draft and suggest several improvements to make the Hand Book more informative to the reader.

Smt.N.Radhika Madhavi, J.R.(Legal), Sri M.Sreenathachari, SC DR(Legal) Sri M.Sekhar, D.R.(Legal), Sri Satya Prasad and Sri Haneef, Assistant Registrars(Legal) and Sri B.Ramaseshagiri Rao, S.I.(Legal) and Sri V.Venkateswarlu, S.I. have helped in drafting and editing the text and I express my thanks to them. Sri J.Sreekanth, Sri N.Ratnagiri Rao, and Sri D.Srinivasa Raju, S.C.Steno and personal staff of RCS have helped in typing and other related work and we are thankful to them. Sri V.Amarender Rao, Managing Director, A.P.State Coop.Union deserves a special mention for coming forward to take up the publication of the Hank Book in a short time and make it available at an highly affordable price.

I hope that the Hand Book will be useful to the officers and staff of the Department as well as to the members/office bearers of the Societies who would be interested in grasping the gist of the Cooperative Laws in a short time. However, this may not be treated as a substitute to the Act/Rules.

Date 04 -02-2008


(J.C.SHARMA)



Pankaj Dwivedi, I.A.S.,
Principal Secretary to
Government
Co-operation & Agricultural
Marketing

M E S S A G E

It is heartening to note that the Cooperation Department responded to my suggestion and came up with a well organised "Hand Book of Cooperative Laws" which is basically meant for a citizen who is interested in knowing about what cooperative Law is all about in a concise and easily intelligible manner. This Hand Book is definitely not a substitute for various Cooperative Enactments, Commentaries or Manuals already available on the subject but is basically intended to be of help to the common man who intends to form a rudimentary understanding of different topics of the Cooperative Law at a glance. Besides, this volume will be highly useful to all the officials and non officials posted to work in the Department/Cooperative Institutions for the first time.

The efforts put in by the Department in compiling the Act, Rules and Regulations at one place on each topic besides organising a comparative status of three different enactments viz., The Andhra Pradesh Cooperative Societies Act, 1964, The A.P. Mutually Aided Cooperative Societies Act, 1995 and The Multi State Cooperative Societies Act, 2002(Central Act) in one volume is really commendable. I heartily appreciate the interest shown by the Commissioner and Registrar in presenting an highly affordable booklet on a technical and complex subject such as cooperative law.

I compliment the efforts of the team of officers and staff who are associated with the compilation of the Hand Book.


(PANKAJ DWIVEDI)

Date: 04-02-2008



MOHD. FAREEDUDDIN
Minister For Co-operation

M E S S A G E

It is gratifying to note the attempt of the Department of Cooperation in bringing out this Hand Book containing the provisions of the APCS Act 1964, APMACS Act 1995, Multi State Cooperative Societies Act 2002 and the circular instructions issued by the RCS from time to time. I am sure that this Hand Book will be found useful as a ready reckoner by the Cooperators, employees of the Dept., and others connected to or interested in Cooperatives.

I appreciate the efforts put in and the contributions made by Sri. J.C. Sharma, IAS, Commissioner for Cooperation & Registrar of Cooperative Societies and his supporting officers in having brought out this useful Hand Book. This will be of immense value to those who need a quick reference to the Laws on Cooperatives in our state. I am very happy that this Hand Book is published when I am the Minister for Cooperation and I feel proud in releasing the same. I take this opportunity in congratulating, individually, all those who contributed their efforts in bringing out this Hand Book.

Date: 04-02-2008


(MOHD. FAREEDUDDIN)

CHAPTER 1

INTRODUCTION

1.1. Cooperation – Origin of the concept

Cooperation is 'Self-help' made effective by organization. It means working together by forming an association voluntarily. The word 'Cooperation' is derived from the latin word 'Cooperari'. The first part of the word 'Co' means 'with' and the second part 'operari' means 'to work'. Cooperation, therefore, means 'working together with others'.

Cooperative technique in our country is as old as human history. Kautilya's Arthashastra maintains that during the days of Mauryan empire, a village functioned as a social cooperative unit. Works of Public utility such as temples, public halls, nesting places, dams etc., were constructed by the villagers as a common obligation. Autonomous guilds of workmen and industrial units existed where work was carried on in a cooperative manner.

1.2. Historical Evolution

Cooperation as a movement started as a product of industrial revolution in Europe. Robert Owen and Dr. William King of England were its patrons and through the magazine "The Co-operator" in 1828-30 they emphasized that "Cooperation is a subject entirely for the working classes and the rich have nothing to do with it". The pioneers to start a cooperative store for the working classes were 28 flannel weavers of Rochdale in the year 1844 with a small capital of 28 pounds radiating a spirit of association in an individualist age with capitalist ideology of each for himself. Their business principles of one man-one vote, sale at market price and division of profits among the members (Share holders) in proportion to the extent of their patronage are the foundation stones for the present day Cooperative Principles.

Cooperative technique of "all for each and each for all" was adopted in the rural credit system ushered in rural Germany by Raiffeisen, a Postmaster in 1848 at

Weyerbusch when he founded a society to distribute potatoes and bread to the poor at cheaper rates while Schulze Mayor of Delitzsch Town started a Loan Society in 1850. In Italy, Signor Luzzatti started a Friendly Society in Lod, an urban town in 1865, while the first Rural Bank was started at Lorrefia, a small village by Dr. Wollemburg. Impetus was thus given to the growth of Cooperation as a movement by public spirited men and unselfish workers in its cause who considered service important above self. The march of the Cooperative movement in several European Countries led to the establishment of a common forum for them namely International Cooperative Alliance in 1895 to address to its policies and problems. A French Co-operator by name Charles Fourier designed a flag for the Cooperative Movement, adopting all the colours of Rainbow and ICA adopted it in 1923. In 1937, ICA formulated Cooperative Principles. They were reformulated by a committee headed by Prof. D.G. Karve in 1966. Again in 1995, Prof Ian Macpherson's Committee made a reappraisal and a statement of Cooperative identity with reformulated Principles of Cooperation were adopted by ICA in Manchester Congress.

1.3. ICA Statement on the Cooperative Identity

The International Cooperative Identity Statement (ICIS) with components of definition of Cooperative Society, Cooperative Values and Principles of Cooperation has been recognized as significant guide post to strengthen the relevance and identity of Cooperatives in the backdrop of market oriented economy characterized by the pressures and pulls of interdependence, competition and free trade.

1.3.1. Definition

A Cooperative is an autonomous association of persons united voluntarily to meet their common economic, social and cultural needs and aspirations through a jointly owned and democratically controlled enterprise.

1.3.2. Values

Cooperatives are based on the values of self help, self responsibility, democracy, equality, equity and

solidarity. In the tradition of their founders, Cooperative members believe in the ethical values of honesty, openness, social responsibility and caring for others.

1.3.3. Principles

The Seven Cooperative Principles are guidelines by which Cooperatives put their values into practice.

- 1) Voluntary and Open Membership
- 2) Democratic Member Control
- 3) Member Economic Participation
- 4) Autonomy and Independence
- 5) Education, Training and Information
- 6) Cooperation among Cooperatives
- 7) Concern for community

1.4. Evolution of Cooperative Legislation In India

Although Cooperation existed in India since the days of Mauryan Rulers as integral part of Indian Cultural ethos characterized by the instinct and tradition of mutual assistance, joint action, joint possession and joint management of the assets endowed, successive foreign invasions caused the destruction of self reliant rural economy. Because of the usurious practices of the money lenders and illiteracy of the peasants, these debts went on increasing and became a crushing burden on them. Their misery unleashed Deccan Riots in 1874. The Deccan Riots Commission of 1875 and the Famine Commission of 1880 testified to the unjust character of the debt. Justice Ranade and Sir William Wedderburn formulated a scheme in 1883 for the establishment of a bank in Pune to finance agriculturists of Purandar Taluq raising a capital of Rs. 10.00 Lakhs to redeem the outstanding debts of Ryots. Madras Government was the first to depute Sir Federick Nicholson “to study the theory and practice of Agricultural and Land Banks in Europe and to suggest means by which a similar movement may be popularized in India”. His reports issued in 1895 and 1897 and Mr. Dupernex’s book on “Peoples Banks in Northern India” in 1900, stimulated the then Government of India to appoint Sir Edward Law

Committee to suggest special legislation for Cooperative Societies. The result was the enactment of Cooperative Credit Societies Act, 1904 on 25.03.1904, which forms the basic structure for Cooperative Legislation in India. It was modelled on the English Friendly Societies Act. Soon Registrars were appointed in Presidencies and major Provinces to organize, register, supervise, audit, inspect and liquidate Societies when not functioning well. In the preamble the scope of Cooperatives was stated to benefit “Agriculturists, Artisans and other persons of limited means”. This law gave no legislative protection to Societies for purposes other than Credit or to the Central Agencies, Banks and Unions which were coming into existence. These deficiencies were remedied in the Cooperative Societies ACT II of 1912. With the authority conferred by Montague-Chelmsford reforms in 1919, Provincial Governments of Bombay, Madras, Bengal enacted their own laws to govern Cooperative Societies. These acts widened the scope of the movement substituting in their preamble “for agriculturists, artisans and persons of limited means” as intended beneficiaries, by the words “agriculturists and other persons with common economic needs” and Better Living, Better Business and Better Methods of Production, which opened the door to advantage being taken even by men of better means. They also conferred enormous powers on the Registrar, such as compulsory amalgamation and division of Societies, Supersession of erring committees, surcharge of persons responsible for malfeasance and misfeasance, adjudication of disputes arising in Societies, execution of awards and decisions or orders given by him. In Bombay Act of 1925, a provision for constitution of Tribunal to entertain appeals against the orders of Registrar was made.

After independence, the nation adopted the approach of planned economic development for establishment of a mixed economy consisting of three sectors namely Public, Private and Cooperative Sectors. Cooperatives were visualized to play the role of a balancing factor between public and private sectors. Pandit Nehru considered Cooperatives as one of the three pillars of

Democracy, the other two being the Panchayat and the School.

When Rural Credit Survey Committee in 1954 recommended for state participation in Cooperatives at all levels, S.T.Raja Committee was appointed by the Government of India to suggest amendments to the Cooperative law, the committee prepared a Model Act enabling state participation and appointment of Government nominees on the management of assisted Cooperative Societies. National Development Council in 1958 reviewed Cooperative legislation and advised State Governments to remove restrictive provisions in the Cooperative Law and liberalize it by curtailing certain powers of the Registrar.

In Andhra Pradesh, the above pioneering legislative efforts were followed by the Andhra Pradesh (Andhra Area) Cooperative Societies Act (Act VI) of 1932, The A.P. (Andhra Area) Cooperative Land Mortgage Act of 1934, The A.P. (Telangana Area) Cooperative Societies Act (XVI) of 1952, the Hyderabad Land Mortgage Act, 1349 fasli. Amalgamation of these acts resulted in Andhra Pradesh Cooperative Societies Act 7 of 1964.

In response to the recommendations of the Ardhanareeswaran Committee (1987) to democratize and professionalize the Cooperatives and to make the role of the Registrar more positive as a development agent and of the Choudhary Brahm Perkash Committee (1991) to change the role of State as a facilitator instead of a regulator and the Model Law set out by the latter, the role of the Government and the Registrar are curtailed in the functioning of the Cooperatives. To facilitate their autonomous and democratic functioning, the A.P. Mutually Aided Cooperative Societies Act 1995 (AP MACS Act) is legislated in Andhra Pradesh on the pattern of the Model Act of Choudhary Brahm Perkash. This is a pioneering step and is a trend setter to other States in the country to liberalize their Cooperative laws.

The crisis faced by the Cooperative Credit System in the Country at present demanded its restructuring and

capital infusion. Prof. A.Vaidyanathan's Committee submitted its recommendations on revitalizing the Cooperative Credit System in December 2004. Andhra Pradesh Government was the first to accept the recommendation and to enter into a Memorandum of Understanding (MOU) with the Government of India and NABARD on 29.08.2006. APCS Act 1964 was also amended by an Amendment Act 16 of 2007 whereby the Cooperative Credit Societies identified under the Revival Package will be governed by Special Provisions incorporated under Chapter XIII B and Sections 115 C and 115 D. These provisions facilitate autonomous and democratic functioning of Credit Cooperatives to a great extent subject to the guidelines of RBI and NABARD on different aspects of their functioning. With the capital infusion of about Rs. 2,000 Crores expected to be received under the Revival Package of Credit Cooperatives, the Credit Cooperatives will be in a position to cleanse their balance sheets by wiping out losses and improve their financial position.

1.5 Present Status of Cooperatives in India

The movement now has 5.03 Lakh Cooperatives, a membership of 210 Million, a 100% rural network, 67% coverage of Rural Households, 46.31% of Agricultural Credit, 23.5% of Fertilizer Production, 51% of Oil Marketed, 55% of Handlooms and 62.5% of storage facility at village level. There are 21 National Level Cooperative Federations, 361 State Level Cooperative Federations and 2572 District Level Cooperative Federations in the Country now. There is no sphere of economic activity which is left untouched by Cooperation. In Andhra Pradesh a total of 73,906 Cooperatives are registered under the A.P.C.S. and the A.P.MACS Act.

1.6 Present Status of Cooperatives in the State of Andhra Pradesh

As of 2007, Societies numbering about 56,056 of various types are registered under the Act of which 28, 801 Societies are under the superintendence and control of the Registrar and 27,255 special types of functional societies are under the control of respective heads of

departments (Functional Registrars). As many as 32,502 Cooperatives are registered under this legislation covering all types of economic activity particularly those fostering Self- help and Thrift Cooperatives.

1.7 Delegation of powers under the Cooperative Acts

Powers under the APCS Act and the AP MACS Act have been delegated to various Functional Registrars in the State to deal with the functioning of the Societies coming under their purview to the extent of authority conferred under the Acts. All the powers under the APCS Act have been delegated to the Additional Registrars working in Head Office. Similarly, majority of powers under the APCS Act have been delegated to the District Collectors (Collector, Cooperation) and other functionaries of Cooperation Department viz., Joint Registrars, Special Category Deputy Registrars, Deputy Registrars, Assistant Registrars and Senior Inspectors working under the control of the State Registrar i.e., the Commissioner and Registrar of Cooperative Societies, Andhra Pradesh, Hyderabad. Majority of provisions relating to Primary Societies have been delegated to Deputy Registrars working as Divisional Cooperative Officers and provisions relating to District Level Societies have been delegated to the District Collectors and the Joint Registrars working as District Cooperative Officers. As far as, the statutory powers delegated to the above officers of the Department, those officers will function as Registrars for such class of Societies. However, certain regulatory powers such as conduct of elections, supersession of committees, appointment of PICs etc., in respect of apex level societies, district level societies and central societies appointment of supervisory staff, sanction of prosecution etc. are retained with the State Registrar. The Act also provides power to the State Registrar to authorise the subordinate officers or any person to discharge certain statutory functions like Surcharge Inquiry, Arbitration References etc. The delegation important powers under the APCS Act, 1964 is tabulated below.

DELEGATION OF POWERS UNDER A.P.C.S. ACT, 1964

Sl. Statutory of power	Delegatin In Respect of Societies		
	Primary	District	Apex
1. Registration	DI.C.O.	DL.C.O	DL.C.O
2. Amendment of By-Laws.	DL.C.O.	DL.C.O.	DL.C.O
3. Application for membership through Registrar	DL.C.O.	D.C.O.	R.C.S.
4. Declaring ineligibility of a person for membership.	D.C.O.	D.C.O.	R.C.S
5. Appointment of person-in-Charge.	DL.C.O.	R.C.S.	Govt.
6. Supersession	DL.C.O.	Dist Collector	Registrar
7. Audit	D.C.A.O	Chief Auditor in case DCCBs. and DCAO in other cases.	Chief Auditor
8. Inquiry	DCO	DCO	Registrar
9. Inspection	DCO	DCO	Registrar
10. Surcharge	DL.C.O	(i) DCO other than DCCBs and DCMSs. (ii) Collector for all District level societies.	Registrar
11. Disputes	DL.C.O.	DL.C.O.	DL.C.O
12. Winding up of societies	DCO	(i) DCO other than DCCBs and DCMSs. (ii) Collector for all District level societies	Registrar
13. Appointment of Liquidator	DCO	DCO	Registrar
14. Election Authority	Dist Collector	Registrar	Registrar

The powers of cancellation of registration, restoration of a society wound up, execution of decisions, decrees and orders, attachment of property before decisions or order in respect of primary, district and apex societies whose head quarters is located in the division are vested in the divisional cooperative officer.

The powers of appeal are vested in the cooperative tribunal concerned while the revisionary powers are vested in the State Registrar of cooperative societies in respect of orders of the subordinate officers and in the Government in respect of the orders of the State Registrar of cooperative societies. The powers of review are vested with the original authority who passed the orders subject to fulfilling conditions like error apparent on a record, surfacing of new facts of evidence etc.,

In respect of A.P. MACS Act, all powers of the registrar have been delegated to the Additional Registrars in head office. Similarly, all powers under the Act have been delegated to the district cooperative officers except special audit, inquiry and follow up action after dissolution the tribunal.

CHAPTER 2

REGISTRATION

[Sections 4, 5, 6, 8, 9 and Rules 2A, 3, 3A, 4 and 5]

2.1 Cooperative Societies which can be registered

A Cooperative society, which has promotion of economic interest of its members as its main object can be registered as a primary society (for individuals) or a federal society (for a group of societies).

2.2 Liability

Liability means liability of a member to the society in the event of its winding up. A society can be registered with limited or unlimited liability. Liability may be limited (to the extent of share capital paid by him) or unlimited (to the extent of total deficit in the assets of the society). However, the liability of the Government/ financing bank / federal society is limited to the share capital subscribed by it.

2.3. Procedure for Registration

The promoters should fulfill the conditions of minimum membership or minimum share capital or pre-conditions or entry point norms prescribed by the Registrar for different classes of Societies separately. They should hold a meeting to

- i. finalize Objectives
- ii. prepare a scheme setting out the economic soundness of the society
- iii. adopt the model bye-laws with necessary modifications etc., However, the provisions of the Act and Rules will prevail if the bye-laws are repugnant to the Act and rules.

2.4 Application for Registration

The application for registration of a Cooperative society as to be made by at least 10 members belonging to

different families in the prescribed form and shall be accompanied by

- i. one original and one copy of the proposed bye-laws
- ii minutes of the promoters' meeting
- iii. sworn statement from each applicant etc.

In case of a Primary Cooperative Society, the Application for Registration has to be made to the Divisional Cooperative Officer concerned or to the Functional Registrar concerned in case of Societies which are under the administrative control of other Departments.

In case of societies formed for raising funds the members shall reside or own immovable property in the area of operation of the society.

2.5 Action on the application for registration

The Registrar after satisfying himself about the fulfillment of conditions, may register the society, its byelaws and issue a certificate of registration within 45 days in case of a primary society and within 60 days in case of other societies from the date of receipt of the application. Where the Registrar is not satisfied he shall communicate the order of the refusal within the same time frame. Society becomes a body corporate once it is registered.

2.6 Amendment to bye-laws

Bye-laws may be amended either by the society itself as per its Requirements or on the suggestion of the Registrar (voluntary amendment) or by the Registrar (compulsory amendment). To carry out an amendment to any of its bye-laws already registered including change of name, change of liability etc., the same should be approved by the general body by a majority of not less than 2/3rds of the members present and voting and registered by the Registrar concerned within 30 days of the receipt of the amendment proposal. Where the Registrar feels that an amendment of the bye-laws is necessary in the interest of such society or of Cooperative movement, he may issue

a notice calling upon the society to convene the general body meeting to adopt such an amendment within a specified time. If the society fails to adopt the amendment within the time stipulated, the Registrar may register such amendment after giving the society an opportunity of making its representation.

2.7 Privileges of Cooperative Society :

- i) Registration confers the status of a corporate body.
- ii) Confers first charge on cesation movables and immovable properties of the members while availing a loan
- iii) Charge and set off in respect of share or contribution or interest of members in respect of any debt due from such member
- iv) exemption from attachment of share or contribution or interest of members under any decree or order of any court
- v) exemption from compulsory registration of instruments issued by the society
- vi) exemption from certain taxes, fees and duties
- vii) deduction from employees' salary
- viii) to avail financial assistance from government
- ix) notice necessary in suits
- x) bar on jurisdiction of courts
- xi) application of civil procedure code while discharging quasi-judicial powers by departmental officers
- xii) admissibility of record maintained by societies as valid evidence etc.,

CHAPTER – 3

MEMBERSHIP

[Sections 19 to 29 and Rules 12A, 13, 14, 18, 21B, 24, 30 and 59]

3.1. Introduction

Members of a Society constitute the foundation on which the organization is built. The APCS Act contains provisions on eligibility to be a member, associate member, disqualification for membership of society / MC, cessation of membership of MC and reinstatement, rights of members to services, expulsion of members and restriction on holding and transfer of shares, transfer of interest on death of a member and liability of past member etc.

3.2. Eligibility for Membership

Individuals competent to contract (i.e., those who are not minors, are of sound mind and not disqualified by any law) can become members of a Society subject to such qualifications as may be specified in the bye-laws of the class of Society concerned. In addition, any other Society, the State or Central Government, any statutory body formed for the purpose of development of a particular industry etc., can become members of Society pertaining to its class. Minors can also be admitted as members of the Society formed for their welfare.

3.3. Procedure for becoming a member

Any individual who fulfills the eligibility criteria mentioned above can apply for membership in a society. The MC is competent to admit members and allot shares. Admission to membership cannot be refused without sufficient cause. Refusal, if any, is required to be communicated with reasons within (15) days of decision of the MC or within 60 days of his application whichever is earlier.

3.4. Associate Member

Associate member means a member who possesses only limited privileges, rights and liabilities as provided in the Act, Rules and the Bye-laws. The Act provides for admission of individuals or informal groups such as Self-Help Groups (SHGs), Rytu Mitra Groups (RMGs), Non-Government Organizations (NGOs) working for the welfare of farmers as Associate Members. The Associate member is not entitled to vote or to any share in the profits or assets of the society. Members in an Agricultural Credit Society without holding land will be treated as Associate Members. However, in respect of Cooperative Credit Societies identified under Revival Package (Prof. Vaidyanathan Report), an Associate Member fulfilling certain conditions of minimum deposit and minimum period is given full voting rights.

3.5. Disqualification for membership

Persons who are insolvent or sentenced for moral turpitude or paid employees of the society or its financing bank or expelled from membership or carrying on conflicting business or failing to transact minimum business prescribed or failing to attend two consecutive general body meetings etc., are disqualified from seeking admission and also for continuing as members of a Society. The GB is competent to remove a disqualified member after giving him an opportunity of making a representation.

3.6. Disqualification for membership of MC

A person who is a near relative of a paid employee of the society or financing bank or a defaulter to the society beyond three months or a delegate of a defunct or defaulting society beyond three months or against whom a decree is pending recovery or who acquires any interest in any subsisting contract made with the society or is of an unsound mind or legal practitioner appearing on behalf or against the society or is carrying conflicting business or has been sentenced to imprisonment under Protection of Civil Rights Act, 1955 or is convicted for moral delinquency or an employee of Government or undertaking or institution

receiving State Aid or having more than two children is not eligible for being chosen or continuing as member of the Managing Committee (MC). An MLA, MP, Mayor / Chairman of Municipal Corporation / Council, elected member or Chairman of ZP, elected member or President of Mandal Parishad and Sarpanch can retain only one position i.e., either membership of MC or the above mentioned positions. No one can be a member of MC more than two societies classified as Apex or Central.

3.7. Cessation of membership of MC

An MC member ceases to hold office forthwith for the residue of his term and also for the subsequent two terms, if he is found guilty of misuse of the property of the society in an Inquiry or found responsible for making any irregular appointment or sanctioning benami loans etc. Both the President and the Secretary cease to hold office if the society incurs loss as a result of misuse / misapplication of share capital. All the members of Committee cease to hold office if they fail to submit annual accounts to the Chief Auditor within six months of the end of the Cooperative Year or fail to place the Inquiry / Inspection / Audit / Special Audit Reports before the next General Body held after the date of receipt of the report or fail to initiate action for prosecution against any member or servant of the society for their criminal liability.

3.8. Rights of members to services, redressal mechanism and expulsion

Every member is entitled to the services available to the members under the bye-laws. The services must be made available by the MC on application. If the society fails or refuses to render services, the member can seek redressal through the Registrar. However, members cannot exercise their rights till they remit all dues payable to the Society.

Every member shall have one vote. A member is eligible to vote or contest in any election only if he contributes the minimum prescribed share capital, transacts the minimum business or utilize minimum

services as provided in the bye-laws, holds his membership for a continuous period of thirty days from the date of admission and is not a defaulter to the Society for the period exceeding three months.

If a member acts against the interest of the society, he can be expelled by the General Body after giving an opportunity of making his representation.

3.9. Restriction on holding and transfer of shares

No member other than Government / member society, is permitted to hold more than 1/5th of the total share capital of the society. Further, individual member is prohibited from transferring his share or interest in the society for a period of one Cooperative Year and also to non-members. However, the State Governments' equity in the Cooperative Credit Societies identified under Revival Package cannot exceed 25% of the Paid-up Share Capital. The State Cooperative Credit Society can reduce the Governments' equity participation further.

3.10. Transfer of Interest on death of a member and liability of past member and estate of deceased member

On the death of a member, the society shall transfer his share or interest to his nominee and in the absence of a valid nomination to the apparent heir or legal representative on his seeking membership of the society. However, the nominee / heir / legal representative can request the society to pay him the cash equivalent of the share or interest of the deceased member. The liability of a past member for the debts of the society continues for two years from the date of his relinquishing membership. In case of deceased member also the said liability continues for a period of two years from the date of his death. However, in case of liquidation, the said liability in both the cases will continue till the completion of the liquidation proceedings but will be limited only to the debts of the society existing as on the date of cessation of membership or death.

CHAPTER – 4

MANAGEMENT

[Sections 32 to 34–A and Rules 21, 21A, 22, 22A, 22B, 22C, 22D, 23, 23A, 23B, 23AA, 24A, 25, 26, 28, 29 and 34]

4.1. Introduction

One of the distinguishing features of a Cooperative Society is its adherence to the principle of democratic control. The members of the Society constitute the General Body (GB) and the GB has the ultimate authority in the management of the Society. The GB periodically elects its representatives who are called Managing Committee (MC) members to look after day-to-day functioning of the society.

4.2. Powers and Functions of General Body

The main powers of the GB are as follows

- i. Election and Removal of members of the Committee and members
- ii. Expulsion of members
- iii. Amendment to Bye-laws
- iv. Submission of Annual Report to the Registrar
- v. Approval of Annual Budget of Income and Expenditure
- vi. Decision on transfer of assets and liabilities, on division or amalgamation
- vii. Decision on bad debts considered irrecoverable
- viii. Approval of staffing pattern, pay and other allowances of the employees of the Society and contingencies.
- ix. Contribution to Cooperative Education Fund etc.

4.3. General Body Meetings

The MC of a Society must call a minimum of two general meetings in a Cooperative Year so as to ensure that at least one meeting is held in each half year. If the MC fails to call the general meeting within the time limit prescribed, the members of the committee cease to hold office from the very next day on which the general meeting is due. On such a default on the part of the MC, the Registrar is competent to convene the general meeting. The Government is also vested with powers to call a general meeting for conducting elections to the MC. There is also a provision for calling GB meeting within 30 days of receipt of a requisition from such number of members as or specified in the Bye-laws or from the financing Bank or federal society or the Registrar.

4.4. Managing Committee (MC)

The constitution and composition of MC varies in different types of Societies with specified reservation to various categories. The GB has to constitute a MC as per its Bye-laws and entrust the Management of affairs to such Committee. The term of MC is 5 years from the date of election.

4.5. Powers and Function of Managing Committee

The main powers and function of the MC are as follows

- i) Admission of members, allotment and transfer of shares
- ii) Recommended removal of disqualified members and committee members
- iii) Raise funds in the form of loans / deposits and invest them
- iv) Conduct GB meeting and elections to the MC in time
- v) Carry on day-to-day management of the Society
- vi) Place annual report, annual plan and budget, reports of Inquiry / Inspection / Audit / Special Audit before the GB and ensure rectification of defects.

- vii) Prepare and place before the GB information on disposal of properties, deficits, write off bad debts, removal or expulsion of members, appropriation of net profits, election of delegates to financing bank or other societies etc.
- viii) Initiate action for prosecution against persons incurring criminal liability
- ix) Review outstanding loans and ensure legal action etc.

4.6 Government Nominees

The Government is empowered to nominate up to three persons or 1/3rd of the total number of MC members whichever is less as members of the MC of societies receiving State Aid. However, as per amendment carried out as a part of implementation of Vaidyanathan Committee Recommendations, the DCCBs and APCOB can have one Government Nominee and there will be no Government nominee on the MC of PACS.

4.7 Election to Managing Committee

Elections are to be conducted to the MC by the Registrar before the expiry of its term in respect of societies in receipt of State Aid. In respect of societies not in receipt of State Aid, the concerned committee itself shall hold elections or request the Registrar for the same.

4.8 MC Meetings

The MC meetings should be called by the President as frequently as possible, at least once in 3 months. If he fails to convene the meetings he ceases to hold office from the next day on expiry of one more month thereafter.

4.9 Person-in-Charge (PIC) Committee

In case there is no committee or it is not possible to call a GB to hold elections to the MC of the Society, Person or Persons may be appointed to manage the affairs of the Society by Registrar initially for a period not exceeding six months. The term can be extended by Government up to

three years and in special circumstances upto six years in aggregate. The PIC can exercise all or any of the functions of the committee subject to the control and directions / instructions of the Government / Registrar as the case may be issued from time to time. The Registrar will conduct elections of a new Committee before expiry of the tenure of the PIC.

4.10 Supersession of the Committee

The Registrar is empowered to supersede the Committee and appoint a Special Officer / MC for a period not exceeding two years, extendable to three years, if the Committee is not functioning properly or wilfully disobeys or fails to comply any lawful order or direction given by the Registrar under the Act or the Rules after giving an opportunity of making its representation. The financing bank has to be consulted by the Registrar in case the Society is indebted to it. In respect MCs of APCOB and DCCB, supersession can be done only in consultation with the RBI. The MC of a PACS can be superseded only on the grounds of

- i) incurring losses for three consecutive years or
- (ii) detection of serious financial irregularities or frauds or
- (iii) based on judicial directives or
- (iv) lack of quorum for three consecutive meetings or
- v) failure in getting audit conducted or
- vi) failure in conducting GB meetings or
- vii) wilful disobedience or failure to comply with lawful directions / guidelines issued by the Registrar.

As in the case of PIC, the Special Officer or Managing Committee can exercise only the functions of the Committee subject to the control and instructions / directions of the Government / Registrar as the case may be. The Registrar will conduct elections of a new committee before the expiry of the term of the Special Officer / MC.

4.11 Devolution of the powers and functions of the President or Vice-President

The powers and functions of the President will devolve on the Vice-President if he ceases to hold office or continuously absent from the Head Quarters for more than fifteen days or is incapacitated for more than fifteen days.

4.12 No-confidence Motion against the President and Vice President

The President / Vice-President will be removed from office by the Registrar if a motion of no-confidence signed by not less than half of the MC members is passed with the support of not less than 2/3rd of the total MC members in the meeting of the MC convened for the purpose by the Registrar. No-confidence motions are not allowed within one year of the assumption of office by the President / Vice-President elected by the MC.

CHAPTER - 5

ELECTIONS

[Section 31 and Rules 18, 22, 22(A), 22-AA, 22-AAA, 22-B, 22-C and 22-D]

5.1. Introduction

The Cooperatives function on democratic principles. The Managing Committees (Boards) are elected on the basis of 'one man – one vote'. Proxy voting is not permitted.

5.2 Authority to conduct Election

The elections in a Cooperative Society are conducted by the Registrar in respect of Societies receiving state-aid. In respect of other (unaided) Societies, the existing MC itself is responsible for conduct of elections. However, the MC of such Societies has the option to request the Registrar to conduct elections. In both the cases the election process has to be initiated well before the expiry of term of the existing MC. The elections to the Societies managed by Person-in-Charge (PIC) Committees or Special Officers (SO) / MC are held by the Registrar at the expiration of the term of such PICs / SOs. The Registrar is the Election Authority in respect of Apex and Central (like DCCBs, DCMSs) societies. The District Collector is the Election Authority in respect of all other societies in the district.

5.3 Cost of Conducting Elections

The total expenses for conducting elections must be borne by the Society. Where the Registrar conducts the election, the expenses will be prescribed by him.

5.4.1 Disqualifications to vote in elections and to contest Elections

Eligibility to vote in elections A member of the Society can vote in elections only if he ;

- i. transacts the minimum value of business or utilize the minimum value of services or facilities as prescribed in the byelaws during a Cooperative Year

- ii. subscribes the minimum share capital prescribed (at present it is Rs. 300/-),
- iii continues to be a member for a period of 30 days from the date of admission till the date of election notification,
- iv is not a defaulter for more than three months,
- v not a delegate of a Society under liquidation or marked for deregistration.

5.4.2 Disqualifications for contesting in elections or for continuing as a member of the Managing Committee

A member is not eligible to contest in elections unless he transacts the minimum value of business or utilize the minimum value of services or facilities as prescribed in the byelaws during a Cooperative Year. A member shall not be eligible for contesting in elections or to continue as a member of the Managing Committee if he -

- i. is a near relative of a paid employees of Society or its financing bank,
- ii. is in default in the payment of any amount due to the society or any other society,
- iii. is a delegate of defunct or a defaulting society
- iv. is a person against whom a decree is pending recovery
- v. acquires any interest in any subsisting contract with the society
- vi. is of unsound mind, a deaf-mute or a leper
- vii. is appearing as a legal practitioner for or against the society
- viii. is carrying on a conflicting business interest
- ix. is sentenced to imprisonment under Protection of Civil Rights Act, 1955
- x. is convicted by a Criminal Court for moral delinquency,
- xi. is having more than two children as on 02.01.1996 etc.

5.5 Composition of MC, Reservations and Division of Constituencies

The Composition of Managing Committees of important societies is as follows

Sl. No	Type of society	Strength of the committee		
		Elected	Nominated	Total
1.	PACS	13	5	18
2.	FSCS	13	6	19
3.	DCCB	21	4	25
4.	DCMS	10	3	13

Reservation for SC, ST, BC and Woman has been provided in the election to the above Managing Committees

For other Societies where the composition has not been fixed, the byelaws of the societies indicate the composition of the MC.

For conducting elections, the area of the society is divided in as many constituencies as the number of members to be elected. Where there is no division of constituencies, the members of MC will be elected by the General Body (GB) in accordance with Bye-laws.

5.6 Mode of Election

The elections are held by secret ballot. However, in respect of elections to Weaker Section Societies or Societies having small number of members election is held by show of hands at the General Body meeting convened for the purpose. Even in such cases, if the election authority is of the view that polling by show of hands is not possible, he may order for conduct of elections by secret ballot.

5.7 Conduct of Elections

The main steps involved in the conduct of elections are as follows

- i. Election Authority appoints an Election Officer. The Election Officer shall be an officer shall be not below the rank of Deputy Registrar in respect of Apex, District and Central Society and any employee of Government in respect of other societies
- ii. The Election Authority shall issue a notification fixing a Election Schedule and date of poll separately.
- iii. The Election Officer shall send a communication of Election within 3 (three) days of his appointment and requisition the records and voters list of the society.
- iv. The society publish the voters list within 7 days from the date of requisition of the Election Officer and invite the claims or objections within 7 days thereafter. In respect of PACS including FSCS the voters list shall be prepared revenue village wise and territorial constituency wise.
- v. The society after deciding on the objections or claims shall prepare the voters list and communicate the same to the Election Officer.
- vi. On receipt of the voters list the Election Officer shall verify the same and satisfy himself that the list conforms to the criteria for eligibility to vote as per APCS Act and Rules. If he notices any omissions or commissions he shall refer the same to the society for rectification. After rectification he shall publish the final list of voters along with the Election Schedule in Form I.
- vii. The Election Officer shall receive nominations in Form II at the specified place, date and time. Every nomination shall be signed by one proposer and one seconder finding place in the voters list of the constituency in respect of which the nomination is filed. The nomination paper shall be presented by the candidate him self and by his proposer or seconder to the Election Officer or to the person authorized by the Election Officer. Nomination fee is also to be paid to the Election Officer. Members claiming to be SC/ST/

- BC shall produce the caste certificate issued by the competent authority. The nominations shall be received on a day, which is not a public holiday. The Election Officer shall publish the list of nominations received by him in Form III at the close of the time fixed.
- viii. Copy of the voters list can be obtained by the contesting candidates on payment of the cost fixed by the society.
 - ix. The Election Officer shall scrutinize the nominations on the next day and decide all objections if any candidate wise and accept and reject the nominations and publish the list of valid nominations in Form IV and the list of rejected nomination in Form V.
 - x. A candidate may withdraw his nomination by notice in writing in Form VI by delivering it in person to the Election Officer before 5.00 PM of the following day on which the list of valid nominations was published.
 - xi. The Election Officer shall publish the final list in Form VII duly allotting symbols to each candidate in case of contest. If the number of candidates whose nominations are valid does not exceed the number of vacancies to be filled by election, the Election Officer shall declare them to have been duly elected.
 - xii. In case of contest the ballot papers shall be prepared in Form VIII and hold the poll within a period of 7(seven) days from the date of withdrawals.
 - xiii. Counting shall take place immediately after the close of poll and results shall be declared immediately on completion of counting
 - xiv. The Election Officer shall call for nominations for the post of office bearers like President, Vice President, Secretary within 3 (Three) days thereafter.
 - xv. Scrutiny of the nominations shall be made in the morning of the day notified for the purpose and the valid nominations shall be published by 12.00 Noon on the same day.

- xvi. Withdrawals shall be allowed upto 2.00 PM of the same day and final list of nominations shall be published by 2.30 PM on the same day
- xvii. Voting for the office bearers from 3.00 PM to 5.00 PM and the results declared after counting is over on the same day.

5.8 Election of Office Bearers

There is indirect election of the President and other Office Bearers of the Society. They are elected by the elected and co-opted members of the MC. The Election Officer will convene the meeting of the newly constituted MC for the purpose of election of Office Bearers including President, Vice-President, Secretary within 3 days of the date of election of the MC. In case of any vacancy in the MC unfilled through election, the Election Officer will ensure the co-option of members to fill up the unfilled vacancies before conducting elections to the Office Bearers.

5.9 Postponement of Elections

The Government or the Election Authority may direct the postponement of elections under one or more of the following circumstances

- i. Breakdown of Law and Order
- ii. On account of natural calamity that prevents the conduct of elections
- iii. When there is apprehension that elections cannot be conducted freely and frankly

When elections are postponed, the Election Authority will order for recommencement of the election from the stage at which it was obstructed or interrupted.

5.10 Nominations by Registrar

Two women members from among the Self-Help Groups / Rytu Mitra Groups / NGOs and one member of the minority community are nominated by the Registrar

to the PACS including LSCS and Rural Banks within 60 days of the declaration of election results. These nominated members will not have any voting rights

5.11 Custody and Preservation of Records

After completion of the process of elections, the election officer has to handover all the election material and records to the Divisional Cooperative Officer in respect of Primary Societies and to the District Cooperative Officer in case of other Societies. These records are to be preserved for a period of six months from the date of election or till the election dispute, if any, is disposed of, whichever is later.

5.12 Comprehensive Report Diary on Election Proceedings

The proceedings of the elections to the MC and Office Bearers are to be recorded in the Minute Book by the Election Officer and a comprehensive report diary along with the specimen signature of the President has to be furnished to the Election Authority.

CHAPTER – 6

REGULATION

(AUDIT, INQUIRY, INSPECTION AND SURCHARGE)

[Sections 50 to 60 and Rules 45, 46, 47, 48, 50, 58, 59 and 60]

6.1 Audit

6.1.1 Introduction

Audit in respect of a cooperative society refers to official examination and verification of accounts pertaining to the society carried out for a particular period. The responsibility of conducting the statutory audit of Societies which received State-Aid cooperative societies conducted once in a Cooperative Year is cast on the Cooperation Department. There is a separate Audit wing in the Cooperation Department headed by the Additional Registrar / Chief Auditor who works under the general superintendence of the Registrar of Cooperative Societies. The Chief Auditor shall audit or cause to be audited by a person authorized by him, the accounts of a cooperative society at least once in every year and issue audit certificate before the end of the succeeding cooperative year. There is no provision in the Act for Re-Audit.

The District Cooperative Audit Officer is responsible for audit of cooperative societies and issue of Audit Certificates within his jurisdiction other than the apex societies and DCCBs. The Additional Registrar / Chief Auditor will issue the Audit Certificates of apex societies and Dist. Coop. Central Banks.

6.1.2 Audit of Unaided Societies

In respect of a cooperative society not in receipt of state aid the Managing Committee of such societies shall cause the audit of accounts of the society every year as per the Audit Manual prescribed by the Registrar, either through the Chief Auditor or a Chartered Accountant. Thus the responsibility for conduct of audit of un-aided societies rests with the management of the societies. The audit

will primarily cover an examination of the debts, over due, verification of cash balance and securities and valuations of the assets and liabilities including prudent management of the affairs of the Society.

6.1.3 Audit of APCOB & CCBs covered under the Revival Package

CHAPTER XIII-B has been added to the APCS Act, 1964 duly incorporating special provisions applicable to Cooperative Credit Societies identified under Revival Package through an amendment issued vide Act No. 16 of 2007. As per Section 115 – D (21) (of Chapter XIII-B), the APCOB/DCCB shall cause audit of its accounts by a Chartered Accountant selected from a panel approved by NABARD.

6.1.4 Time Limit

The audit shall be completed within a period of six months from the close of the cooperative year. Responsibility is also placed on the Managing Committee (MC) of the societies under section 50 (3) of APCS Act 1964 to present the accounts within three months failing which the MC will attract the penal provision of cessation under section 21 AA of the Act.

6.1.5 Audit Fee

The cooperative societies whose audit is conducted by the departmental auditors, have to pay audit fee as per Rule 46 of APCS Rules.

6.2 Inquiry

6.2.1 Authority to hold an Inquiry

The Registrar is vested with the powers to hold an Inquiry against a Cooperative Society either himself personally or through some person authorized by him.

6.2.2 Basis for Inquiry

The Inquiry can be ordered by Registrar in two situations.

- i. He may Inquire on his own motion (suo-moto).

- ii. He is bound to order an Inquiry if application is filed by a federal society or by not less than 1/3rd of MC members or by not less than 1/5th of the total members of the Society.

6.2.3 Aspects (areas to be covered) for holding an Inquiry

The Registrar or person authorized by him can hold an Inquiry into the

- i. Constitution of the Society
- ii. Working of the Society
- iii. Financial condition of the Society and related matters.

6.2.4 Essential Ingredients of an order of Inquiry

The order instituting an Inquiry should contain, among others,

- i. The name of the Society
- ii. The name of the Inquiry Officer
- iii. The terms of Inquiry
- iv. Apportionment of costs of Inquiry and any other specific matter pertaining to the Inquiry.

6.2.5 Time limit for completion of Inquiry

The Inquiry shall be completed within a period of 4 months from the date of commencement of Inquiry. The Registrar is empowered to extend the time period by another two months for reasons to be recorded in writing. However, the time stipulations will not vitiate the legality of the statutory Inquiry Report.

6.2.6 Powers of the Inquiry Officer

An Inquiry Officer is vested with the following powers-

- i. Free access to books, accounts, documents, records etc., belonging to the Society
- ii. Summon person/s in possession of the above mentioned documents or persons having knowledge about the affairs of the Society at any place at the

headquarters of the society or any branch or any other place and examine on oath.

- iii. Seize the books, accounts or documents and retain upto a maximum period of 60 days. Retention beyond 60 days requires permission of the next higher authority.
- iv. Powers of the Civil Court in a limited measure.

6.2.7 Communication of the Inquiry Report along with findings and follow up action by MC

- i. The Inquiry report is required to be communicated to the MC of the Society by the Registrar along with his findings.
- ii. The MC or Ad hoc Committee or PIC Committee or Special Officer as the case may be, is required to place the same before the General Body or the Special General Body convened for the purpose for its information before the next GB meeting held after the date of receipt of the Inquiry Report by the Society.
- iii. The Registrar is empowered to ask the society to take corrective action on the findings communicated and to take action against the MC if it fails to take such action. The Registrar is also empowered to take follow-up action on the findings of the Inquiry Report and such action cannot be nullified even if the General Body negatives the findings of the Inquiry.
- iv. The Registrar can apportion costs of Inquiry among the Society, members or creditors demanding Inquiry and the said costs are recovered as arrears of land revenue.
- v. The findings of the Inquiry report forms the basis for the issue of direction by the Registrar for placing an employee of a society under suspension who has committed misappropriation or found responsible for breach of trust or other offences in relation to the Society.
- vi. The findings also forms basis for Surcharge and for winding up of Societies.

6.3 Inspection

6.3.1 Authority to hold an Inspection

The Registrar is vested with the powers to institute an Inspection against a Cooperative Society. The Inspections can be conducted by the Registrar himself or by any person authorized by him by a general or special order directing such person to inspect the books of the Society.

6.3.2 Basis for Inspection

The Inspection can be ordered by Registrar in two situations

- i. He may order an Inspection either based on the knowledge he has about the Society
- ii. He may order on the basis of an application made by a creditor of a society.

However, the Registrar can take cognizance of the application by the creditor only if he satisfied that

- i. Certain amount from the Society is due to the creditor,
- ii. The creditor demanded the payment due to him from the Society but,
- iii. The creditor has not received satisfaction of his claim within a reasonable time.

In addition the creditor must deposit a sum of money as security towards the cost of Inspection instituted at the instance of the creditor.

6.3.3 Time limit for completion of Inspection

The Inspection shall be completed within a period of 3 months from the date of order of Inspection. The Registrar is empowered to extend the time period by another two months for reasons to be recorded in writing. However, the time stipulations will not vitiate the legality of the statutory Inspection Report.

6.3.4 Powers of the Inspection Officer

An Inspection Officer is empowered to summon and examine documents and persons on par with an Inquiry Officer under the Act i.e., he can have

- i. Free access to books, accounts, documents, records etc., belonging to the Society
- ii. Summon person/s in possession of the above mentioned documents or persons having knowledge about the affairs of the Society at any place at the headquarters of the society or any branch or any other place and examine on oath.
- iii. Seize the books, accounts or documents and retain upto a maximum period of 60 days. Retention beyond 60 days requires permission of the next higher authority.

6.3.5 Communication of the Inspection Report along with findings and follow up action by MC

The communication of the Inspection Report and follow-up action by MC is similar to follow-up action on Inquiry Report.

6.3.6 Inspection by Financing Bank or Federal Society

The financing bank or a federal Society is empowered to inspect the books of the Society indebted to it. Such an Inspection can be conducted by an Officer of the financing bank or federal society authorized by the MC or its paid employee certified by the Registrar as competent to undertake such Inspections. Such Officer will have free access to the books of the Society, to call for such information, statements and returns as may be necessary to examine the financial condition of the Society and safety of sums lent to it by the Bank. The follow up action on the Inspection Report submitted by the authorized officer or member is similar to the Inspection instituted by the Registrar.

6.4 Surcharge

6.4.1 Introduction

Surcharge is the civil liability fixed on any person responsible for misappropriation of funds or property of the society.

6.4.2 Basis for Surcharge Proceedings

The Registrar may initiate Surcharge proceedings against any of the officials and employees of Cooperative Society, both present and past based on the information or reports received during the conduct of Audit, Inquiry, Inspection and Winding-up Proceedings of a Society.

6.4.3 Persons Liable for Surcharge

Surcharge Proceedings can be initiated for misappropriation or fraudulent retention of money or breach of trust or causing any deficiency to the assets of the society or making payment contrary to the bye-laws against

- i. Person who is / was entrusted with the organization, affairs or management of the Society
- ii. Any past or present officer or servant of the Society.

6.4.4 Authority to initiate Surcharge

Surcharge proceedings have to be initiated by the Registrar himself or by any person specially authorized by him to carryout this task.

6.4.5 Procedure to be followed

The Surcharge Proceedings contemplates an independent Inquiry by the Registrar and any prior report forming basis for Surcharge constitutes only a preliminary report. The Surcharge Inquiry into the conduct of the person may be done by a personal examination of the records connected with Audit, Inquiry or Inspection once again even though such examination was conducted by

other statutory officers earlier. The conduct referred to in the provision pertains to the involvement of the person to be surcharged and the role played by him directly or indirectly in the alleged Act of omission or commission. The person proposed to be surcharged is required to be given an opportunity of making his representation invariably by giving him a detailed Surcharge Notice setting out the circumstances and full details of the case which led to the initiation of Surcharge.

The Surcharge order must specify the money or property to be repaid by the delinquent along with reasonable rate of interest by way of compensation in respect of the misappropriation, misapplication of funds, fraudulent retention, breach of trust or willful negligence committed by him. Surcharge will not absolve the delinquent from the criminal liability incurred by him.

6.4.6 Execution of Surcharge Orders

Any sum ordered for recovery under Surcharge may be recovered

- i. on a requisition being made in this behalf by the Registrar to the Collector in the same manner as arrears of land revenue or
- ii. Through a Civil Court or
- iii. Through Officers of Cooperation Department deeming as if an Execution Petition has been filed.

CHAPTER – 7

SETTLEMENT OF DISPUTES

[Sections 61 to 63 and Rules 48 to 50]

7.1. Introduction

Method of Arbitration is provided in order to ensure early settlement of disputes, both monetary and non-monetary, without having to approach a Civil Court. However, the procedure similar to Civil Court proceedings is to be followed.

7.2. Disputes which may be taken up for Arbitration

All disputes touching the constitution, management or any claim regarding the business of the society except a dispute regarding disciplinary action taken by the society against a paid employee has to be referred to the Registrar for Arbitration. Such a reference is popularly known as Arbitration Reference Case (ARC). However, disputes relating to Election to MC have to be referred to Cooperative Tribunal. The financing bank may proceed against the society or its members for recovery of moneys due to it when the Society fails to take action for recovery. Civil disputes such as disputes relating to transfer of property, consumer disputes, summary recovery proceedings for which there is separate provision in the act do not come under the purview of Arbitration.

7.3. Parties to the disputes

The parties to the dispute can be as tabulated below

S.No.	Parties on one side	Parties on the other side
i)	Members, past members and persons claiming through members, past members and deceased members	Members, past members and persons claiming through members, past members and deceased members

ii)	Members, past members or persons claiming through a member, past member or deceased member	Society, its committee or any officer, agent or employee of the Society
iii)	The society or its committee	Any past committee, any officer, agent or employee or his legal representative
iv)	Society	Any other society

7.4 Action to be taken by Registrar on receipt of Arbitration Reference

- i) To examine whether the Complaint copy with supporting documents and fee remittance challan is filed or not
- ii) To examine whether the dispute referred is within the scope of the Act
- iii) To decide whether to take up the case himself or transfer to for disposal to any person authorized by Government

7.5 Procedure of hearing and deciding the disputes

The arbitrator shall record a brief note of the evidence of the parties and witnesses who attended and after consideration of any documentary evidence produced by the parties shall pass a decision in accordance with justice, equity and good conscience in writing. Pending final decision on the subject, the Arbitrator may pass interlocutory orders in the interest of justice.

7.6 Limitation

The limitations prescribed under the Indian Limitation Act 1963 are applicable to the disputes under the Act. However, the limitation for the disputes between the Society and its committee and any past committee, any officer, agent or employee shall be six years from the occurrence and for election disputes it is one month from the date declaration of results.

7.7. Time Limit - for completion :

The ARC is expected to be completed within 30 days of reference.

CHAPTER – 8

EXECUTION

[Sections 70 TO 74 and Rules 52, 54, 55 & 55A]

8. Introduction

Decisions or Orders issued by the Registrar under various provisions of the Act are executable. The decisions or orders can be of two types, monetary and non-monetary.

8.1. Execution of Monetary Decisions or Orders (Popularly known as Decrees)

Important monetary decisions or orders are as follows

- a) Amount ordered to be recovered from a member of a MC or an employee of the Society responsible for misappropriation or loss to the Society under Surcharge Orders under Section 60
- b) Amount ordered to be recovered for recovery of debts to a Society under a Certificate under Section 71 or under an Award under Section 62

The manner of execution of these decisions or orders is as follows

- i. The Decree holder has to apply for Execution to the concerned Divisional Cooperative Officer (DICO) or the Office on Special Duty (OSD), District Cooperative Central Bank (DCCB) in respect of Societies financed by DCCB along with necessary fee
- ii. The DICO / OSD shall prepare a demand notice against the defaulter and forward it to a Sale Officer to serve on the defaulter
- iii. If the defaulter does not pay as required in the demand notice the Sale Office shall proceed first against the movable and then immovable property of the defaulter
- iv. If a defaulter dies before the decree has been fully satisfied the proceedings will be initiated against the legal representative

- v. The Registrar or authorized person for recovery of any amount has been vested with the powers of a Civil Court

8.2. Execution of Non-monetary Decisions or Orders

Important non-monetary decisions or orders are decisions on matters like membership, allotment of plots etc., passed under an Award under Section 62, an Appeal by Cooperative Tribunal under Section 76, a Revision by Registrar or Government under Section 77 and a Review by Cooperative Tribunal, Registrar or Government.

All non-monetary decisions are executed by the Civil Courts having jurisdiction as if such order or decision is a decree of that Court on a certificate issued by the Registrar or any person authorized by him in his behalf.

CHAPTER - 9

WINDING UP

[Sections 64 to 69-B and Rules 50, 50A & 51]

9.1. Introduction

Winding up refers to the act of bringing an end to the affairs of a Cooperative Society. The process of winding up is called Liquidation. The liquidation process is to be resorted to only after exhausting all other possible steps to revive the society.

9.2. Circumstances warranting Winding up

The Registrar can order winding up of a Society either suo-moto or on the basis of application of not less than two – thirds of the members. The suo-moto order can be given in the following circumstances

- i. On the basis of Inquiry held under Section 51 or an Inspection conducted under Section 52
- ii. Where the membership falls below the statutory minimum of ten
- iii. Where the Society has not commenced working within a period of two years in case of Urban Bank or Housing Society or within a period of one year in case of other societies or ceased to work for the last three years and was classified as “defunct” as per Audit.
- iv. Where the Society conducts its affairs in a manner detrimental to the interests of its members or the promotion of the object for which it has been registered.

9.3. Opportunity before Winding up Order

The Order for winding up is to be passed only after giving the Society an opportunity of making representation by issuing a Show Cause Notice. Generally the Financing Bank is also consulted before passing the Order. The Notice can be issued in any one of the following manners

- i. By publication in A.P. Gazette or

ii By Publication in local news papers or

iii. By tom-tom in the village and affixture to the notice board of the society and in case no office exists for the society, in the panchayat office.

9.4. Appointment of Liquidator

A Liquidator is appointed after passing the winding up order. On taking charge as Liquidator, the properties and assets of the Society vest in the Liquidator. Similarly, the liabilities devolve on him.

9.5. Functions and powers of the Liquidator

The Liquidator has to take measures for winding up of the Society under the general control of the Registrar. He has power to carry on the business of the society and to do all acts and execute all documents necessary for beneficial winding up. He can exercise the following powers, among others

- i. to institute and defend suits on behalf of the Society
- ii. to realize the assets of the Society
- iii. to determine the contribution to be made by the members / past members etc.,
- iv. to investigate all claims against the Society and decide priorities
- v. to pay claims against the Society including interests upto the date of winding up
- vi. to determine the costs of liquidation to be borne by various persons
- vii. to compromise with creditors or persons to whom society is liable to pay
- viii. to raise any money required on the security of the assets of the society.
- ix. to take action for recovery of dues and dispose off the surpluses etc.,

The Liquidator is a public officer and hence no suit can be filed or continued against him without prior permission of the Registrar. The actions of the Liquidator cannot be called in question in Civil Courts as the APCS Act itself provides for remedies by way of Appeal, Revision and Review.

9.6. Discharge of Liabilities & Disposal of Surplus Assets

The assets realized by the Liquidator should be utilized for payment to creditors and such payment should be on a pro-rata basis. The priority should be fixed in the order of Government dues, Secured Loans, Unsecured Loans, Share Capital, Dividends etc. Interest on deposits of outsiders is payable only upto the date of winding up.

If all the liabilities has been met, the Surplus assets should be distributed in the following order

- i. to meet the objects of the Society as contained in the bye-laws
- ii. where there are no bye-laws, the Registrar will hold the surplus amount in trust and transfer it to the reserve fund of a new Society to be formed with similar objects within a period of 3 years
- iii. If no new society is registered within 3 years, the Registrar may distribute the surplus to
 - (1) The Federal Society with similar objects or
 - (2) A.P. State Cooperative Union or
 - (3) any charitable purpose stated in the Charitable Endowments Act 1890

9.7. Final Closure Report

After all the assets are realized and liabilities are discharged, the liquidator has to call a General Body Meeting and place a summary of action taken by him. The Liquidator has to submit a final closure report to the Registrar containing statements of receipts and payments, final audit

report, resolution passed by the GB, statement of assets and liabilities etc.

9.8. Cancellation of Registration

The Registrar will pass an order of cancellation of the Registration of the Society if he is satisfied with the liquidation proceedings as contained in the final closure report. The Society ceases to exist as a body corporate from the date of cancellation of Registration.

9.9. Restoration of a Society wound up

Before the affairs of the society are completely wound up, the Registrar is competent to withdraw the winding up orders and restore it to a committee. The assets, properties, claims or liabilities as on the date of such restoration will devolve on the Society.

9.10. Termination of Liquidation Proceedings

The winding up proceedings are required to be closed within a period of 3 years from the date of winding up order. After the expiry of 3 years, the liquidation proceedings will be deemed to have been terminated and the Registrar shall pass orders terminating the liquidation proceedings.

CHAPTER - 10

APPEAL, REVISION AND REVIEW

[Sections 75 to 78 and Rules 49-A and 56]

10.1. Introduction

Separate Courts, called Cooperative Tribunals have been established to deal with cases / appeals under the Act. Cooperative Tribunals, Appeal, Revision and Review have been made in the Act.

10.2. Cooperative Tribunals

The Government have constituted four Cooperative Tribunals at Hyderabad, Warangal, Vijayawada and Visakhapatnam for speedy disposal of appeals arising under the provisions of the Act. The Tribunals consist of a Chairman who is judicial officer not below the rank of a District Judge and not more than two members of the rank of Additional Registrars of Cooperative Societies. The working of the Tribunals is governed by the Andhra Pradesh Cooperative Tribunal (Procedure) Rules, 1994.

10.3. Appeal

10.3.1. An appeal lies to Tribunal against the orders passed in the following matters-

- i. Registration of a Society (Section 6)
- ii. Restriction and creation of any charge, De-registration of a Society and appointment of official assignee (section 9A, 9B, 9C)
- iii. Transfer of assets and liabilities, division, amalgamation and conversion of certain Societies (Section 12A)
- iv. Exercise of option by members and creditors (Section 13)
- v. Amendment of byelaws of a Society (Section)
- vi. Partnership of Society (Section 17)

- vii. Eligibility for membership (Section 19)
- viii. Disqualification for membership of society (Section 21)
- ix. Disqualification for membership of Committee (Section 21A)
- x. Cessation of membership of Committee (Section 21 AA)
- xi. Expulsion of members (Section 23)
- xii. Cessation of President on failure to convene committee meetings [Section 32 (3)]
- xiii. Supersession of the Committee (Section 34)
- xiv. Motion of no-confidence in the President and Vice – President of the Committee (Section 34A)
- xv. Surcharge (Section 60)
- xvi. Arbitration reference (Section 62)
- xvii. Winding up of Societies (Section 64)
- xviii. Power of the Liquidator (Section 66)
- xix. Power of the Registrar to recover amounts by attachment and sale of property and execution of orders (Section 70)
- xx. Recovery of debts (Section 71)
- xxi. Attachment of property before decision or order (Section 73) and
- xxii. Delivery of possession of records and properties of a society (Section 117)
- xxiii. Election original petitions as per section 61(3) or rule 49-B.

10.3.2. The jurisdiction of the Tribunal is barred in respect of any order of withdrawal or transfer of a dispute under Section 62(3) . The Registrar is also empowered to refer any matter to Tribunal in respect of cases where appeal lies to it to examine legality or propriety of any decision or order passed by the Lower Authority.

10.3.3. Appeals shall lie within sixty days from the date of communication to the appellant of the decision/order complained against. However, the Tribunal is empowered to admit an appeal after the expiry of sixty days by condoning the delay if it is satisfied that the appellant had sufficient cause for not preferring the appeal within the sixty days.

10.4. Revision

Revision, in general sense, refers to re-examination of matters to ensure correctness of action of sub-ordinate officers. Revision under the Act refers to

- i. The power vested in the Registrar of the State (not Functional Registrar or persons delegated powers of Registrar) against the orders of the sub-ordinate officers
- ii. The power vested in Government against the orders of the Registrar of the State. The power of Registrar is either on application or suo-moto. The power of revision can be exercised in respect of all proceedings of sub-ordinate officers except in cases where appeal is provided to the Tribunal.

A Revision petition should be presented within 90 days from the date on which the proceedings/decision or order to which the petition relates was communicated. The revisional authority can modify, annul, reverse or remit for re-consideration and pass appropriate orders after giving an opportunity to both the parties to represent their cases. It may allow costs to be paid either out of the funds of the society or by any party to the revision petition. The revisional authority is also empowered to suspend the order of the sub-ordinate officer pending disposal of the revision petition.

10.5. Review

Review means re-viewing a matter or subject afresh by the same authority based on

- i. Discovery of new and important facts which were not there within the knowledge of the party or could not be produced when the order was made or

- ii. On the basis of some mistake or error apparent on the face of the record or
- iii. For any other sufficient reason. The powers of review shall be exercised only by the same authority which passed the order in appeal or revision.

Review, therefore, does not lie in cases of other orders passed by the authorities under the provisions of the Act. The application for review shall be presented only once within 90 days of the communication of the order. The reviewing authority can pass orders only after affording an opportunity of representation to all the parties concerned and it is also empowered to pass interlocutory orders and to award costs to be paid out of the funds of the society or any party to the review application.

CHAPTER –11

OFFENCES AND PENALTIES

[Sections 79 to 83 – C]

11.1. Introduction

The offences coming within the purview of Cooperative Law cover various types of actions or omissions committed by the Managing Committee, an officer, employee or any member of the society. For misappropriation of funds prosecutions are launched after sanction of prosecution by Registrar and for other offences, action is taken under this Act.

11.2. Offences and Corrupt practices

11.2.1. The following are the major offences and punishments prescribed in the Act.

Offences	Penalties
Furnishing false return or false information on a lawful order or direction issued under the Act or to gain admission or to continue as member of a society or to get elected to the M.C. or to continue as member of the society or an officer of the society.	Punishable with imprisonment up to 6 months and with a fine up to Rs.500/-
Disobedience of any summons, requisition or order or direction under the Act wilfully and without reasonable cause.	
Failure to furnish any information lawfully required from him by an authorised person under the Act.	

Contravention of the instructions on creating first charge of a society on certain movable assets of a member for the amount due by him or on the immovable property borrowed by him or on conducting transactions with non-members by a Primary Weavers Cooperative Society.	Punishabl with imprisonment for a minimum of one year to seven years.
Wilful failure to produce Books of Accounts, documents, records, cash etc., belonging to or in the custody of the society.	
Misappropriation of the property of the society entrusted to his care.	
Possession of the stolen property of the society.	
Abetment of any offence punishable under the Act.	Punishable with imprisonment for a minimum of six months extendable up to five years

11.2.2. The actions treated as corrupt practices with the punishments are as follows

Corrupt practices	Punishments
Irregularity in sanction or receipt of loans or in purchases are causing deficit in stocks.	Punishable with imprisonment upto 1 year or with fine upto Rs.5,000/- or both.
Accepting illegal gratification in the discharge of official duties.	
Irregular use of funds of the society.	

Signing minutes book of the meetings of the MC without actually attending	
Passing a meeting without proper Quorum as valid	

11.2.3. The use of the word 'Cooperative' or its equivalent in any Indian language by any person or firm other than a Cooperative Society is prohibited without the sanction of the Government. Any violation is punishable with fine upto Rs.200/- in the first instance and with Rs. 50/- for each day in case of continuing offence.

11.2.4. The Committee or an Officer or an employee of a Society who fails to implement a non-monetary Award given by an Arbitrator or order passed Cooperative Tribunal is punishable with fine upto Rs. 500/-

11.2.5. Any Society or any Officer or member or any other person contravening the provisions of Act for which no specific punishment is provided under the relevant provision is punishable with fine upto Rs. 50/-.

11.3. Cognizance of Offences

The offences cannot be tried by any Court inferior to that of Magistrate of the first class or the Metropolitan Magistrate. Every offence is to be treated as cognizable offence under Code of Criminal Procedure, 1973. The previous sanction of the Registrar is also made mandatory for launching prosecutions.

11.4. Recovery presumption as to commission of offences

The following presumptions are made in respect of commission of Offences and Statements recorded under Inquiry and Inspection

Offence / Statements	Presumption as to
Drawl of amounts and failure to disburse or account for it.	Misappropriation of said amount
Failure to produce the books and properties under his custody / his possession on requisition by Registrar or Authorized person	Wilful withholding of the books and properties
Making false entries or manipulates or alters the books of accounts	Committing the same wilfully to cause loss or damage to Society
Misuse of the properties of Society in contravention of Law	Misuse for his personal benefit
Execution of documents or entering into agreement for sale or purchase of land in contravention of bye-laws	Done for personal benefit to cause loss to the Society
Issue of any receipt by a member Officer or Employee of the Society	Issue in the name of the Society and responsible to account for the same.
Statements recorded under statutory Inquiry or Inspection by the Registrar of authorized person	Statement within the meaning of the Indian Evidence Act, 1872

11.5. Loss to be recovered in addition to Criminal Liability

The Act also stipulates that any Member, Officer or Employee of a Society committing offences discussed above is responsible to make good the loss caused to the Society besides incurring criminal liability. The Registrar or Authorized person is empowered to recover the said loss as arrears of land revenue from the responsible person or his legal heirs or any person who acquired the properties from such a person.

INTRODUCTION

In early 1960s, co-operative legislation all over the country underwent major changes to ensure State participation in promotion of cooperatives and to bring subsidized credit, production inputs at the door step of the disadvantaged sections of people in rural areas. In Andhra Pradesh too, at this time, the Andhra Pradesh Cooperative Societies Act, 1964 was enacted. Over the years, however, increased State participation in the financing and management of Cooperative has led to an unfortunate situation where cooperatives themselves have started to perceive themselves not as member-controlled, member-sensitive businesses guided by the universally accepted principles of cooperation, but as channels for government subsidies and largesse.

At a time when deregulation and liberalization enabled other sectors of economy to break new ground, it was considered necessary to allow cooperatives also to have the same degree of freedom to conduct their affairs to enable them compete successfully with other sectors. Cooperative financing organizations, such as the NABARD, NCDC, NDDB etc., have also desired to deal directly with cooperative societies without involvement of Government.

On the other hand, the Government also realised that cooperatives not dependent on Government funds need to be given greater autonomy to voluntarily promote and effectively develop services for themselves through their own cooperative societies. In the backdrop of the above changed perception, several work shops have been held during the year 1994 and the State Legislature has enacted Andhra Pradesh Mutually Aided Cooperative Societies Act, 1995 (AP MACS Act) in order to promote cooperative societies as accountable, competitive, self-reliant and autonomous business enterprises based on thrift, self-help and mutually aid, owned, managed and controlled by the members for their economic and social betterment and to make the Co-operative movement more vibrant in the State. In this Act, no Rule making power is vested to the Government.

PART II
Andhra Pradesh
Mutually Aided Cooperative
Societies Act, 1995.

CHAPTER 13

REGISTRATION

[Sections 4, 5, 6 and 9]

13.1. Societies which can be registered and conditions for registration

A minimum of 10 individuals each being a member of a different family or two or more Societies registered under the MACS Act wish to form a federation, may apply for registration of a Society to the Registrar concerned. A Society registered under APCS Act 1964 may also apply to the Registrar for conversion into a MAC Society. Application for registration is to be submitted by hand or by registered post accompanied by the following particulars.

- i. Original copy of the bye-laws of the proposed Society as adopted by the individuals of a newly proposed Society /General Body of the existing Society under APCS Act.
- ii. Names of individuals (promoters) with their addresses, occupations and their financial commitment
- iii True copy of the minutes adopting the byelaws signed by majority of members and minutes intending conversion as the case may be.
- iv. Registration fee amounting to 1% of the authorized share capital subject to a minimum of Rs.100/- and a maximum of Rs.10, 000/-
- v. In case of a Society registered under APCS Act and wishing to convert itself into MACS, evidence has to be shown that it is not in receipt of any Government share capital, loans or guarantees at the time of applying for registration or that it has entered into an Memorandum of Understanding (MOU) with the Government for any such outstanding loans or guarantees.

13.2. Scope of Bye-laws

The bye-laws of a Society should cover the following matters specifically:

- i. the objects of the Society and the services to be provided to the members
- ii. eligibility and ineligibility of members and eligibility to vote in elections
- iii. minimum performance expected from members and the consequences in the event of default
- iv. the powers and functions of General Body, Board and the Chair Person
- v. the manner and frequency of convening general meetings and board meetings and the quorum required there for
- vi. the term of office of directors and size, composition, eligibility and ineligibility of the Board of Directors
- vii. the manner of conducting elections and of filling casual vacancies
- viii. penalties for acting against the interests of the Society and for non-fulfilment of duties and the nature and extent of liability of office bearers/directors for debts contracted
- ix. appointment of authorized signatory, manner of choosing delegates
- x. the nature and amount of capital, maximum capital a single member can hold, maximum interest payable to members on the share capital
- xi. raising of funds/resources and their utilization, constitution and disposal of funds, appointment of auditors/internal auditors
- xii. manner of dissolution etc.

13.3. Procedure for registration and action on the application for registration

If the application fulfils the above conditions and if the name of the proposed Society is not the same as that of a Society already registered under the APCS Act or the APMACS Act, the Registrar has to register the Society along with the bye-laws, issue a registration certificate and communicate to the Chief Promoter within a period of 60 days from the date of application. In case of non fulfillment of the above conditions, the Registrar has to send a refusal order together with the reasons there for, within 60 days from the date of application. A Society may be registered with limited liability or un limited liability. The Society once registered acquires the status of a body corporate.

CHAPTER 14

MEMBERSHIP

[Sections 19, 35 and Bye-Laws]

14.1 Eligibility for Membership:

Any person with contractual capacity and desirous of utilizing the services of the Society and willing to accept the responsibilities of membership and fulfils the conditions specified in the Bye-laws can apply for membership of the Society. The Society can admit if it is in a position to extend its services to him. Admission and removal of membership has to be done by an elected Board or by the General Body when there is no elected Board.

14.2 Rights and liabilities of Members:

The members enjoy the rights as provided in the bye-laws. The members of the society are liable for the losses of the society over and above the Deficit Cover Fund in proportion to the services availed or expected to avail.

CHAPTER 15

MANAGEMENT AND ELECTIONS

[Sections 20, 22, 23, 24 & Bye-laws]

15.1 Composition of Board and its term

A Society is managed by a Board of Directors elected by the members eligible to vote. The size of the Board will be a multiple of the term of office of its directors: ex: if the term of office is 5 years, the size of the Board can be 5, 10, 15 and so on. The Board of Directors will have staggered term. At the first election each director's term is to be decided by lots. At any given time, vacancies on account of retirement of directors are to be less than half of the strength of the Board. The Chairperson will be elected by the Board of Directors. However, the term of a director should not be more than five years.

15.2 Eligibility to become a Director

A member intending to contest for the post of a director should be a voting member of the Society for at least two years immediately preceding the year of elections and he must have attended two General Body meetings of the Society held immediately preceding the elections if the society is in existence for more than two years. A person who has, at any time, lost the right to vote as a member or to continue as a director or incurring any disqualification as per the bye-laws, is not eligible to contest in the election.

15.3 Disqualifications

A person ceases to be a director if he absents himself from three consecutive Board Meetings without leave of absence or absents himself from the General Body meeting without leave of absence or is penalized under the Act.

The Directors will not be eligible to continue as such and will not be eligible for being chosen as directors

for a period of three years if they did not conduct elections before the expiry of the terms, did not conduct their annual general body meeting in time and the requisitioned meeting of the general body within the specified time or they did not place the audited accounts and the report of the auditor before the annual general meeting.

15.4 Eligibility Criteria of a member to vote

A member can exercise his rights of membership including right to vote on fulfilment of the stipulations in the bye-laws and if he had been a member for at least one year before exercising his vote. However, this stipulation is not applicable to the promoter members in the first year of registration.

15.5 Conduct of elections

The responsibility for conducting elections before the expiry of the term of the directors lies with the board in office. Where the Board does not take steps for conducting elections before the expiry of their term or where there are no directors remaining on the Board to conduct elections, the Registrar may at the request of not less than 25 members or 5 percent of the total members of the Society, whichever is less or suo-moto may convene a General Body meeting within 30 days for appointing an ad-hoc board for conducting elections. The term of the ad-hoc board can be for a maximum period of one month plus the minimum period required to conduct elections. When the regular Board is put in place, the ad-hoc board ceases to exist. In the first instance, election should be held for the total strength of the Board. Fresh elections are to be conducted to fill up the vacancies at the respective intervals. A Director can contest any number of times subject to the provisions of the bye-laws and if he is not otherwise disqualified. The elections are to be conducted as per bye-laws.

15.6 Recording of Election Proceedings

The proceedings of the election are to be recorded in the minutes book of the Society by the Election officer.

Fresh elections are to be conducted to fill the vacancies at the respective intervals. A retiring director is eligible for re-election if the byelaws so provide

15.7 Important Powers & Functions of the Board of Directors

- i. Admit and terminate membership and review of its membership in other Cooperatives
- ii. Election and removal of Chairperson and other office bearers
- iii. Framing the following policies
 - a. Recruitment and removal of chief executive and fix service conditions of staff such as recruitment, salaries etc.
 - b. Organization and provision of services to members
 - c. Custody, mobilization, utilization and investment of funds and manner of keeping accounts
 - d. Monitoring and management information systems and filing of returns
 - e. Placing of Annual Report, Financial Statements, Annual Plan and budget for the approval of the General Body and undertaking functionaries delegated by the General Body.

15.8 General Body

The General Body of a Society is the ultimate authority subject to the provisions of the Act and its byelaws. The Society may constitute a representative General Body, if required, for effective decision making.

15.9 Board Meetings & General Meetings

The Board of a Society has to meet at least once in every 3 months. The General Body shall meet at least once a year. On requisition received from at least one tenth (1/10th) of the members, the Board has to convene

the General Meeting. When the Board fails, the Registrar can convene the General Body.

In accordance with the Byelaws, the Chairperson will preside at the meeting of the Board and the General Body. Every Society has to record all proceedings of every General Body and Board of Directors meeting in the minutes book and communicate such minutes to all the invitees within thirty days of the conclusion of the meeting. The person who chaired the meetings has to sign the minutes recorded. The Chairperson enjoys powers delegated by the Board.

15.10 Supersession of the Board

The Registrar has no power to supersede the Board of a Society, unless it is a Society/Bank coming under Banking Regulation Act, 1949 in which case he has to abide by the directives of the RBI.

CHAPTER – 16

REGULATION

(Audit, Special Audit, Inquiry and Recovery)

(Sections 27, 28, 29, 30, 31 & 33)

16.1 Audit

A Society may get its accounts audited by a Chartered Accountant or by any auditor of the Department of Cooperation. The General Body is competent to appoint an Auditor and fix remuneration by a resolution and such resolution is valid only until the close of the next succeeding annual General Body meeting.

16.2 Special Audit

A Society dealing with funds from the Government or other external individual or institutions may be subjected to a Special Audit on the request of a creditor and the Registrar may appoint a Special Auditor. Special Audit has to be completed within 120 days of its commencement and report submitted to the Registrar.

16.3 Inquiry

The Registrar may of his own motion and shall on the application of a federation to which the Cooperative Society concerned is affiliated, or of a Creditor of the Society, or of 1/3 directors or of 1/10 th of the members hold or cause an inquiry to be made into the specific matters relating to any gross violation of the Act by the Society. The Inquiry has to be completed within 120 days of the order failing which the order lapses. The Inquiry report is to be communicated to the Society concerned and the applicant concerned or any person on payment of fees and to the Cooperative Tribunal where necessary, within 30 days of completion of Inquiry. The Inquiry Officer has to specifically state the amount of deficiency, waste or loss appeared to have been caused by the gross negligence or misconduct of any person in the performance of his duties.

16.4 Action on Special Audit or Inquiry Report

Registrar has to communicate copies of the Special Audit Report to the applicant-creditor, the Society concerned and the Cooperative Tribunal if necessary, for taking action within 30 days from the date of receipt. The Cost of Special Audit is to be borne by the Creditor applying for it. If the Special Audit reveals serious mismanagement in the Society, the cost of Special Audit may be recovered from the Society or the persons responsible for the mismanagement. The Registrar, without prejudice to civil or criminal proceedings, may direct the Board of the Society to convene a General Body meeting within a reasonable time to enable him to bring to its notice the findings of the Special Audit report for necessary action. If the Special audit reveals serious lapses such as payments contrary to law, deficiency of amounts, waste, loss or gross negligence, misconduct etc., such loss amounts may be ordered to be recovered from the Society or the persons responsible for mismanagement by the Tribunal on the application of a Member, Director, Chairperson or the Registrar.

16.5 Powers of the Tribunal to order recovery

Tribunal can order for recovery of the amounts from the person responsible for the deficiency or loss or unprofitable outlay occasioned by his negligence on an application from a member, director, Chairperson or Registrar on filing a copy of the Special Audit Report or the Inquiry report. The Tribunal disallows irregular expenditure and orders for recovery from the person responsible for such deficiency / loss / unprofitable outlay due to his negligence / misconduct. The Tribunal is expected to issue a reasoned order for its decision after giving an opportunity of making representation and serves a copy on the delinquent as per the procedure laid down in Code of Civil Procedure, 1908. The orders of Tribunal are appealable in the High Court within sixty days of receipt of such order. The orders of Tribunal / High Court are executed in the same manner as a decree of a Civil Court under the Code of Civil Procedure, 1908 and under the provision contained in Chapter X of A.P.C.S. Act, 1964.

CHAPTER – 17
SETTLEMENT OF DISPUTES AND
EXECUTION

[Sections 36 and 37]

17.1 Introduction

A Society may set up its own system in the Bye-laws for settlement of disputes touching its constitution management or business. It can approach Society/ Tribunal only after all such remedies available in the Bye-laws are exhausted.

17.2 Parties to the Disputes

- i. Disputes among members, past members or persons claiming through members, past members and deceased members.
- ii. Disputes between a member, past member or a person claiming through member, past member or deceased member and co-operative Society, its board, director, office bearer or liquidator , past or present
- iii. Disputes between the Co-operative Society or its Board and any past Board, Director or the nominee, heirs or legal representatives of any deceased Director, deceased officer of the Society
- iv. Disputes between the Co-operative Societies
- v. Disputes between the promoters of a Society and the Registrar.
- vi. Disputes between the Society and Registrar
- vii. Disputes between the liquidators of two or more societies.

The disputes relating to elections of a Society are to be referred to the Co-operative Tribunal for decision.

17.3 Execution of Decisions, Decrees and Orders

The procedure for execution of Decisions, Decrees and Orders is the same as applicable in the case of a Society registered under A.P.C.S. Act 1964. However, all references to the Registrar are to be construed as references to the Tribunal.

CHAPTER – 18
DISSOLUTION

[Section 39 to 44]

18.1 Introduction

Dissolution of a Society can be authorized by its members or by a Cooperative Tribunal

18.2 Dissolution by members

A notice of the General Body meeting for dissolution of the Society has to be sent to the Registrar, federations if any, creditors and partnership organizations who will have a right to make a representation to the General Body against dissolution. A special resolution is to be passed authorizing its own dissolution and within 150 days a copy of it is to be sent to Registrar by Registered Post to dissolve the Society. On receipt of the special resolution the Registrar shall cause publication of the same in a newspaper once a week for two weeks or distribute the resolution in the district where the registered office of the Society is located at the expense of the Society.

18.3 Appointment of Liquidator

The General Body or the Tribunal, as the case may be, may appoint the liquidator. Where a Liquidator is not appointed the Registrar may appoint a Liquidator to wind up the affairs of the society or where he is satisfied that the society has no assets and liabilities, issue a certificate of dissolution.

18.4 Dissolution by Tribunal

The Registrar or an interested person may apply to the Tribunal for dissolution of a Society after giving ninety days notice to the Society and to the Registrar, if the society

- i. Obtained registration by fraud or mistake
- ii. is serving illegal purposes
- iii. has wilfully violated the Act, Bye-laws, even after notice by Registrar

- iv. is not running in accordance with the principles of Cooperation
- v. has not commenced business within two years of the date of Registration
- vi. has not carried on business for the past two consecutive years

After receipt of application for dissolution, the Tribunal after giving an opportunity to the Society may order that the society be dissolved or liquidated and dissolved under the supervision of the Registrar.

CHAPTER –19 OFFENCES AND PENALTIES

[Section 38]

19.1 Offences

The following will be treated as offences under the Act

- i. failure to give notice, send a return or document violating the provisions of Act and bye-laws
- ii. wilful negligence or refusal to furnish the information required for the purposes of the Act or bye-laws
- iii. filing a false or insufficient return / information violating the provisions of Act and Bye-laws.

An offence by a Cooperative Society will be deemed to be an offence committed by each office bearer bound by the bye-laws unless the office bearer or director proves to have attempted to prevent the commission of the offence.

Any person contravening the provisions of the Act and bye-laws will also be deemed to have committed an offence under the Act.

19.2 Penalties

Offences are punishable with imprisonment upto one year or with a fine up to Rs.10,000/- or with both.

COMPARISON OF PROVISIONS UNDER APCS ACT 1964 AND APMACS ACT 1995

Andhra Pradesh

Cooperative Societies Act, 1964

Andhra Pradesh Mutually Aided Cooperative Societies Act, 1995

20.1. Role of Government

Appoints Registrar; can direct Registrar; can postpone elections; can exempt cooperatives from legal provisions; can nominate directors to board; can appoint persons-in-charge for State level federations; frames rules, can handle appeals, revisions, reviews; can give directions to cooperatives regarding reservations on staff; can hold equity in co-operatives; sets up Special Courts and Tribunals



Appoints Registrar; cannot provide share capital, but may provide other funds and guarantee to cooperatives based on memorandum of understanding that it may enter into with cooperatives; sets up Special Courts and Tribunals

20.2. Role of Registrar

Registers cooperative at his discretion; registers bye-laws; must approve of transfer of assets & liabilities, of division, of amalgamation; can compulsorily amalgamate, divide, etc.; can classify cooperatives; can amend bye-laws compulsorily; must approve of all bye-law amendments; can admit members; must approve of expulsion of members; can disqualify committee members; can call for special general meet-

Has to register cooperative and its bye-laws if they are in consonance with the Act; registers amendments to certain bye-law provisions, takes on record amendments to most bye-law provisions; convenes general body meeting where a board fails to do so in stipulated time; receives annual reports and audited financial statements; inquiries; can conduct special audit where non-member funds are

ings and for meetings of no-confidence; conducts elections; can supersede committees; appoints persons-in-charge, can give directions for cooperatives; fixes honorarium to president; approves of bank in which deposits can be kept; must approve of investments in own business; audits; inspects; inquires; can summon documents etc.; can surcharge; can suspend officers; settles disputes; winds up cooperative; appoints liquidators; can cancel registration; can recover dues; serves on cooperative tribunal; sanctions institution of prosecution; handles appeals, revisions, reviews; can appoint supervisory staff in cooperatives; constitutes common cadres; approves of staffing pattern; must approve of appointment/removal of chief executive where cooperative is in receipt of government aid.

The government is empowered to make rules on every subject covered by the Act



involved; can recommend dissolution to the tribunal if a cooperative works in contravention of the Act and principles of cooperation, etc.

Rules

There is no rule-making power. All affairs of a cooperative are to be regulated by the provisions of the Act and the bye-laws of the cooperative

4. Multiplicity of Cooperatives

Registration can be refused because of non-viability, conflict of area of jurisdiction, for same class of cooperative

Registration cannot be refused except if bye-laws are not in accordance with Act, therefore, multiplicity of organisations possible ; Registrar does not have the right to classify cooperatives

5. Membership

In matters of admission, disqualification and expulsion of members, the Registrar has final say

Admission disqualification and expulsion of members are the exclusive prerogative of the cooperative

6. Management

Size of board fixed; term of board fixed; composition of board fixed; elections by Registrar; reservations on board

Size, term, composition of board left to bye-laws; staggered terms; elections by incumbent board failing which by ad-hoc committee; disqualification of all directors for not conducting elections in time, for not conducting general body meetings in time, for not placing audited accounts before annual general meeting

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7. Staff

Common cadre possible; too little authority with board; Registrar must approve staffing pattern, service conditions, salaries, etc.; an improve deputationists from government

All staff fully accountable to cooperative; deputationists from government and other organisations possible if a cooperative so deserves

8. Share capital

Government and other non-members may contribute share capital

Members alone can contribute share capital and non-member share capital is forbidden

9. Mobilisation of funds

Cooperatives may mobilise funds within the limits fixed by Registrar

Cooperatives may mobilise funds within the limits fixed by bye-laws

10. Investment of funds

Investment of funds even in own business restricted, lending limits are fixed by Registrar

No restriction in investment in own business, but other investments to be in any non-speculative manner specified by bye-laws

11. Deficit

71 The issue of deficit not addressed; accumulated deficits are dealt with at the time of liquidation

Deficit is required to be analysed and dealt with on an annual basis; members have to meet the deficit in proportion to their actual use or commitment to the use of the services of the cooperative during the year, if the deficit cannot be set off against reasons

12. Audit

Audit is the responsibility of audit wing of the department, choice of auditors not available to cooperatives; no penalty for non-conduct of audit

Audit is the responsibility of the board; auditor to be chartered accountant or from Registrar's office at cooperative's discretion; non presentation of audit report to general body in stipulated time results in disqualification of all directors

13. Subsidiaries

No subsidiary organisation can be set up by a cooperative

Subsidiary organisations may be set up by a cooperative

14. Rights and privileges

Exemptions from payments of contains San stamps, duties, etc.

Same as available in 1964 Act

15. Disputes

Registrar or his appointee is the sole arbitrator

Bye-laws must contain manner of settlement of disputes, only after which Tribunal has been given role; Registrar has no role

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16. Offences

Offences to be tried by Special Courts; several offences mentioned in detail and their penalties, too; prior permission of Registrar necessary for prosecution

Special Courts to look at offences; directors and officers to prove that they tried to prevent offence, otherwise held responsible for the offence; any affected party can move Special Court; any persons entrusted with responsibility by the Act will be deemed to have committed offences if the responsibility is neglected

17. Dissolution

Only by Registrar, only in the event of poor functioning; voluntary dissolution by members is

By members and by Tribunal; not just because of non-viability, but also because of lack of interest in

not possible; no time limit on liquidation proceedings

continuing cooperative; for not functioning in accordance with the Act and Principles of Cooperation; liquidators proceedings to be completed in 2 years

18. Final disposal of assets

After dissolution, surplus assets of a cooperative will vest in Registrar

After dissolution, surplus assets of a cooperative will be disposed off in accordance with the bye-laws of that cooperative

19. Cooperative

Projected as an instrument for public good, as channel for distribution of government resources

Defined as instrument of its members for their economic social betterment, based on mutual aid.

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PART III
MULTI - STATE COOPERATIVE
SOCIETIES ACT, 2002.

The Central Government enacted the Multi-Unit Cooperative Societies Act (MUCS Act) 1942 to facilitate the organization, administration and functioning of Cooperative Societies with area of operation extended to more than one State. A number of National Level Cooperative Societies and Federations have come up with the assistance of the Central and State Governments. The provisions in the Cooperative laws in different States governing these multi state cooperative societies varied from one another. The lack of uniformity and inadequacies in the then existing arrangements rendered it necessary to replace the Multi Unit Cooperative Societies Act, 1942 by a common comprehensive central legislation namely the Multi State Cooperative Societies Act, 1984(MSCS Act) providing for Central Authority to be responsible for their registration, promotion and supervision. With the increasing demand for more autonomy for democratic management with lesser control from the Central or State Governments, a Model Cooperative Law was suggested by the Choudhary Brahm Perkash Committee. The Multi State Cooperative Societies Act, 2002 has been enacted based on this Model Cooperative Law.

CHAPTER 22

REGISTRAION

[Sections 5, 6, 7, 8 and 16, Rules 3, 4, 5, and 12]

22.1 Society which may be registered

A society, with the main object to serve the interests of the members in more than one State and bye-laws of which provide for social and economic betterment of its members through self-help and mutual aid in accordance with the cooperative principles, can be registered as a Multi-State Cooperative Society.

22.2 Procedure for Registration

The application for registration of a Society shall be made to the Central Registrar(Government of India) and such application shall be signed by,

- i. at least by fifty persons from each of the State concerned in case the members of the proposed society are individuals,
- ii. by the authorised representatives on behalf of at least five societies which are not registered in the same State in case members of the proposed society are cooperative societies,
- iii. authorised representatives of the each of the society, in case the members of the proposed society are another Multi-State Cooperative Society and other cooperative societies and not less than two of the cooperative societies shall have not been registered in the same Sate,
- iv. fifty persons being individuals from each of the two States or more and one Cooperative Society each from two states or more, or one Multi-State Cooperative Society in case the members of the proposed Multi-State Cooperative Society are cooperative societies or Multi-State Cooperative Societies and individuals

Such application shall be accompanied by four copies of the proposed bye-laws of the proposed society and such other information as may be required by the Central Registrar

22.3 Action on the application for registration of the Society

The Central Registrar after satisfying himself about the fulfilment of the conditions, may Register the Multi-State Cooperative Society and its bye-laws, and Federal Cooperative Societies, and issue a certificate of registration within four months from the date of receipt of application, unless he refuses to register the said society. The order of refusal to register a Multi-State Cooperative Society shall be communicated by registered post to the concerned, within a period of four months from the date of receipt of application for registration and the manner of communication of orders refusing the registration is the conclusive proof of refusal of the registration of the proposed society. Any inaction in registering the society or refusal within the stipulated time frame, the deemed clauses of registration are attracted. While refusing the registration the pre-condition of giving a reasonable opportunity of being heard is to be, necessarily, observed. Once the society is registered, it acquires the status of the body corporate.

22.4 Liability

The name of every Multi-State Cooperative Society registered under this act is to be suffixed with the word “limited”, which denotes that the liability of the members is limited to the extent of share capital paid by them. No Multi-State Cooperative Society can be registered with unlimited liability after commencement of this Act. However, a Multi-State Cooperative Society with unlimited liability before commencement of this Act has to exercise the option within a period of one year from such commencement either to continue to function as such or to convert itself into a Multi-State Coop Society with limited liability. A Multi-State Cooperative Society may, by an amendment of its bye-laws, can change the extent of its liability. An amendment of the bye-law in this regard

shall not be registered or shall not take effect unless the conditions laid down in the Act are fulfilled.

22.5 Amendment of Bye-laws

A Multi State Cooperative Society can amend its bye-laws by adopting a resolution at the meeting of its Executive Committee, pass the said resolution in its general meeting by a 2/3rd majority of the members present and voting and apply to the Central Registrar for registration of the said amendment within 60 days of passing the resolution by the general body. The Central Registrar, if he is satisfied, may register the amendments and issue a Certified Copy of the amended bye-laws. He may also refuse the registration of the amendments and such order of refusal is appealable within 60 days from the date of order.

CHAPTER – 23

MEMBERSHIP

[Sections 25,26,27,28,29,30, 31,33,35,36,37 and Rule 11]

23.1 Eligibility for Membership and procedure for becoming a member

Any individual competent to contract under Indian Contract Act, any Multi-State Cooperative Society or any Cooperative Society, the Central Government, a State Government, National Cooperative Development Corporation, any other Corporation owned or controlled by the Government, any Government company as defined in Section 617 of the Companies Act 1956, such class or classes of persons or association of persons as may be permitted by the Central Registrar having regard to the nature and activities of a Multi-State Cooperative Society, on application be admitted as a member of such Multi-State Cooperative Society. Every application for admission as a member of Multi-State Cooperative Society has to be disposed of by such society within four months from the date of receipt of such application. And decision of the society on such application is to be communicated within fifteen days from the date of such decision. If the application is not disposed of or decision not communicated within the above stipulated period, it is deemed that the society has refused admission of the applicant. The society shall not admit members within 30 days prior to the date of general body meeting.

23.2 Nominal or Associate member of a society

If it is provided in the bye-laws, a Multi-State Cooperative Society can admit a person as a nominal or associate member. However, no such member is entitled to subscribe to the shares of the society or have any interest in the management of the society including right to vote, get elected as director of the society or to participate in the general body meetings.

23.3 Disqualification for membership

Persons carrying on conflicting business or competitive with the business of the society, persons who failed to use the services of the society below the minimum level specified in the bye-laws for two consecutive years, members who failed to attend the general meetings of the society for three consecutive general meetings without condonation and members who defaulted in payment of amount due by them to the society under the bye-laws of the society.

23.4. Expulsion of members

The General Body is competent to expel any member by passing a resolution with not less than two thirds majority of the members present and voting, for acts of such members which are detrimental to the proper working of the society after giving him an opportunity for making representation. An expelled member acquires eligibility for readmission after lapse of one year from the date of such expulsion.

23.5 Eligibility to Vote

Every member of the society including a member who is an employee of such society will have one vote. However, a member can exercise his voting right only on payment of his membership dues or has acquired such interest in the society as may be specified in the bye-laws of the society.

23.6. Restriction on holding of shares

No member except the Central/State Government, Government owned/controlled Corporations or Companies can hold shares more than the maximum limit of one-fifth prescribed in the bye-laws of the society.

23.7. Transfer of interest on death of members

On the death of a member, the society may transfer the share or interest of the deceased member to the person nominated in accordance with the bye-laws of the society.

If no person is nominated, then the board may transfer to the person who appears to be the legal heir or legal representative of the deceased member, or pay to the nominee or legal heir or legal representative as the case may be, the sum equal to the value of the share or interest of the deceased member. The board must pay all the moneys due to the deceased member, to the nominee or legal heir or legal representative, as the case may be, within a period of six months of the death of the member, unless it is stopped by an order of the competent court.

23.8. Liabilities of past member and estate of deceased member

The past member of the society is liable for the debts of the society as they existed on the date on which he ceased to be a member. Likewise, the liability of the estate of the deceased member exists for the debts due by him to the society as on the date of his death and shall continue for a period of two years from such date. Liability of a past member who ceased to be a member or of the estate of the deceased member who died within two years immediately preceding to the date of order of winding up shall continue until the entire liquidation proceedings are completed.

CHAPTER – 24

MANAGEMENT

[Sections 38,39,40,41,43,44,45,46,49,50 and Rules 13,15 and 16]

24.1 General Body

Subject to the provisions of the Act, the rules, and the bye-laws, the ultimate authority of a society vests in the General Body which consists of all the members of such society.

24.2 Annual General Meeting

The board of a Society has to call the annual general meeting within the period as may be prescribed, but not later than six months after the close of the corresponding year by giving not less than fourteen days notice in writing. All the general body meetings are to be called at the principal place of the society. If the board fails to call such general meeting within the prescribed period, the Central Registrar or the person authorised by him in this regard, is competent to convene such general meeting within a period of ninety days from the date of expiry of the period specified for calling general meeting by the board and the expenditure incurred on such meeting is to be borne by the society. A Society having membership exceeding one thousand may provide in its bye-laws for constitution of a smaller body. The smaller body so constituted will exercise all powers of the general body as may be specified in its bye-laws. The quorum for the annual general meeting shall be 1/5th of the total number of members or as prescribed in its bye-laws

24.3 Special General Meeting of General Body

At any time, on the direction of the board, the Chief Executive of the society may call a special general meeting. Further, he has to call a special general meeting within one month from the date of requisition in writing from the Central Registrar for convening such meeting or on receipt of such request from such number of members or proportion of the total number of members as prescribed in the bye-laws of the society. Special general meeting of the society may be called by giving not less than seven days notice in writing.

24.4 Board of Directors

Every Society must have a board of directors consisting of such number of members as may be specified in its bye-laws, the maximum being twenty one excluding two directors co-opted by the board and the functional directors of national cooperatives. The term of the elected board of the society is as specified in its bye-laws, but not exceeding five years from the date of elections.

24.5 Board Meeting

The total number of meetings of the board in a year and the venue of meetings as may be specified in the bye-laws. However, the board shall meet at least once in every quarter.

24.6 Disqualification for being a member of board

No one is eligible to be a member of the society if, he has been adjudged by a competent court as insolvent or of unsound mind, is concerned or participates in the profits of any contract with the society, holds any office or place of profit under the society, has been a member in the society for less than twelve months immediately preceding the date of such election or appointment, has interest in any business of the kind carried on by the society of which he is a member, defaulter in repayment of amounts/value of goods taken on credit due by him to the society, for such period and has been convicted for an offence involving moral turpitude.

24.7 Powers and functions of the board

The board may exercise all such powers as may be necessary or expedient for the purpose of carrying out its functions under the Act including the following.

- i. Admission of members and review of membership.
- ii. Appointment, removal and regulating the services of the Chief Executive and other employees
- iii. To place annual report, financial statement, annual plan, budget, audit report and compliance report before the general body.
- iv. To raise funds and to approve annual and supplementary budget
- v. To sanction loans to the members etc.

CHAPTER - 25

ELECTIONS

[Sections 41, 44, 45 and 46]

25.1 Election of Board of directors

It is the responsibility of the existing board to conduct elections. Election of members of the board is held by secret ballot in the general meeting of the members. Where the board fails to conduct elections, the Central Registrar has to hold elections within a period of ninety days from the date when such elections became due. The expenses for holding elections have to be borne by the said society. The elected members are eligible for re-election if the Bye-laws permit. The elected members will in turn elect their Chairman / Vice-Chairman / Other Office Bearers in the meeting convened by the Election Officer. The Central Government prescribed the procedure for the conduct of election to the board of societies in the schedule appended to the Rules.

25.2 Prohibition to hold office of the Chairperson or President or Vice-

Chairperson or Vice-President

- i. A Minister in Central Government or State Government is not eligible to be elected as Chairperson or President or Vice- Chairperson or Vice-President of a Society.
- ii. No member is eligible to be elected as Chairperson/ President of the society after he has held such office for two consecutive terms, full or part.
- iii. No person is eligible to hold the office of President or Chairperson or Vice President or Vice -Chairperson on board for more than two Societies at the same time.

CHAPTER –26

REGULATION

(Audit, Inquiry, Inspection and Repayment)

(Sections 70 to 77, 78, 81, 82 ,83, 79, 80 81,83)

26.1 Audit

Every Society has to be audited by an auditor appointed in its general meeting and he will hold such office from the conclusion of such general meeting until the conclusion of next general meeting. A person is not qualified to be appointed as an auditor of the society unless he is a chartered accountant within the meaning of the Chartered Accountants Act, 1949. The appointment of Auditor may be from the approved panel by the Central Registrar or from the panel prepared by the Society. Every auditor appointed by the society has to inform within thirty days of the receipt of intimation of his appointment to the Central Registrar in writing that he has accepted or refused to accept the appointment. Where no auditor is appointed at an annual general meeting, the Central Registrar may appoint a person as an auditor of the society. If any auditor resigns then the vacancy is to be filled by the general meeting of the society. An auditor can be removed by the society before expiry of his term in the general meeting. The remuneration of the auditors will be fixed by the society in its general meeting or the Central Registrar as the case may be. The report of the auditor will be laid before the society in its general meeting.

Where the Central Government is of the opinion that the affairs of the society are not being managed properly, may order for special audit by appointing chartered accountant or the auditor of the society. However, Central Government cannot order for special audit, unless the Central Government or State Government by itself or both hold more than fifty one percent of the paid up share capital.

26.2 Inquiry

At the request of the Federal Society to which the Society is affiliated, or a creditor or not less than one third of the members of the board or one fifth of the total number of members of the society, the Central Registrar may hold an inquiry or direct some person authorized by him by order in writing to hold an inquiry into the constitution, working and financial condition of the Society. No Inquiry can be held unless a notice of not less than fifteen days is given to the society.

An enquiry officer can have free access to the books, accounts, documents etc at all reasonable times. He can require the officials of the society to call the general meeting at not less than 7 days notice and if they fail to convene such meeting, he himself can convene the general meeting.

On receipt of the inquiry report, the Central Registrar has to communicate the said report within three months to the society, to the financial institutions, if any, to which the Society is affiliated and to the person or authority at whose instance the inquiry is made.

26.3 Inspection

At the request of the Federal Society to which the Society is affiliated, or a creditor or not less than one third of the members of the board or not less than one fifth of the total number of members of the society, the Central Registrar may hold an Inspection or direct some person authorized by him by order in writing to make an Inspection into the constitution, working and financial condition of a Society. An Inspecting Officer can have free access to the books, accounts, and documents etc at all reasonable times. He may convene board meeting and if necessary the general meeting subject to the general or special order from the Central Registrar. No Inspection shall be made unless a notice of not less than fifteen days given to the society.

Copy of the Inspection report is to be communicated to the society within a period of three months from the date of completion of such Inspection.

26.4 Apportionment of cost of Inquiry and Inspection

Where Inquiry and Inspection are held, the Central Registrar may apportion the costs or such part of the costs as he think fit between the Society, the members or creditors demanding an Inquiry or Inspection, and the officers or former officers and the members and former members. Such costs may be recovered by filing an application before a Magistrate having jurisdiction.

26.5 Repayment

If in the course of an Audit, Inquiry, Inspection or winding up of a society, it is found any person who is entrusted with the organization or management of such society or who is or has at any time been an officer or an employee of the society, had made an irregular payment, or caused any deficiency to the assets of the society by breach of trust or willful negligence, or misappropriated the funds of the society, the Central Registrar may of his own motion or on the application of the board, liquidator or any creditor inquire himself or direct any person authorised by him, by order in writing to inquire in to the conduct of such person within a period of two years from the date of receipt of audit, Inquiry, Inspection reports or the date of the order of winding up as the case may be. However if the Central Registrar is satisfied that such inquiry could not be commenced during the period of two years and the period can be extended to the maximum period of six years. After the inquiry is made the Central Registrar may after giving a reasonable opportunity of being heard to the concerned, make an order requiring him to repay or restore the money or property or any part thereof with interest or pay contribution and costs or compensation to such extent as the Central Registrar may consider just and equitable.

CHAPTER – 27

SETTLEMENT OF DISPUTES

[Sections 84 and 85 and Rule 30]

27.1 Scope

The Central Registrar concerned or the person appointed by him in this behalf is the Arbitrator for deciding any dispute (other than a dispute regarding disciplinary action taken by the society against its paid employee or industrial dispute defined in Industrial Dispute Act, 1947) touching the constitution management or business of a Society. If not otherwise provided in the Act, the provisions of the Arbitration and Conciliation Act, 1996 will apply to all arbitrations as if the proceedings for arbitration were referred for settlement or decision under the provisions of the Arbitration and Conciliation Act, 1996.

27.2 Parties to dispute

Any dispute arising among the following parties shall be referred to arbitration.

- i. among members, past members and persons claiming through members, past members and deceased members, or
- ii. between a member, past member and persons claiming through past member and deceased member and the Society, its board or any officer, agent or employee of Society or liquidator, past or present, or
- iii. between the Society or its board and any past board, any officer, agent or employee, or any past officer, past agent or past employee, heirs or legal representatives of any deceased officer, deceased agent, or deceased employee of the Society, or
- iv. between the Society and any other Society, between a Society and liquidator of another Society or between a liquidator of one Society and liquidator of another Society

Powers of the Central Registrar in this regard have been delegated to the State Registrars/Union Territories for appointment of Arbitrators. The Central Registrar concerned fixes the fee as per the provisions of Arbitration and Conciliation Act, 1996.

27.3 Limitation

The period of limitation in case of any dispute which are required to be referred to arbitration shall be regulated under provisions of Limitation Act, 1963 except in the following cases.

- i. When disputes relates to recovery of any sum including interest thereon due to a Society by a member be commuted from the date on which such member dies or ceases to be a member of the society.
- ii. When a dispute relates to any act or omission on the part of any of the parties to the Arbitration mentioned in para (ii), (iii),(iv) of para 27.2 above, the limitation will be six years from the date on which the act or omission, with reference to which the dispute arose took place.
- iii. When the dispute is in respect of an election of a society, the limitation will be one month from the date of the declaration of the result of the election.

The Arbitrator may admit a dispute after the expiration of limitation, if the applicant satisfies the Arbitrator that he had sufficient cause for not referring the dispute within such period.

CHAPTER – 28
EXECUTION

[Sections 94 to 98]

28.1 Execution of decisions etc.,

Every decision or order passed against any violations in convening of annual general meetings, special general meetings; orders passed for repayment of amounts, Orders issued under appeals and reviews duly certified by the Central Registrar or any person authorized by him in writing will be deemed to be a decree of Civil Court and shall be executed in the same manner as if it were a decree of such court and such decrees shall be executed by the Central Registrar or any person authorized by him in writing in this behalf by attachment and sale or sale without attachment of any property of the persons or a Society against whom the decision or orders have been made. Where the decision or order provides for recovery of money and every order made by the Liquidator, will be recovered as arrears of land revenue.

28.2 Attachment before award

If the Arbitrator is satisfied that a party to the Arbitration is about to dispose of the whole or any part of the property or remove the whole or any part of the property from its existing precincts, he may direct conditional attachment of the said property or such part thereof as he deems necessary unless adequate security is furnished.

28.3 Recovery of sums due to Government

All the sums due from the Society or from an officer or from a member or past member of the Society to the Central Government or State Government including any cost awarded to the Central Government or to the State Government under any provisions of this Act may on a Certificate issued by the Central Registrar, be recovered in the same manner as arrears of land revenue as first charge on the assets of such society or officer or member

or as the case may be. Sums due from a society to the Central Government or to a State Government and recoverable as stated in the above para may be recovered firstly from the property of the society and secondly from the members, past members or estates of the deceased members subject to the limit of their liability.

CHAPTER - 29

WINDING UP

[Sections 86 to 93, Rule 28]

29.1 Introduction

If the Central Registrar on the basis of Audit, Special Audit, Inquiry and Inspection is of the opinion that the society is to be wound up, he may, after giving an opportunity of making its representations, direct it, to be wound up.

The Central Registrar may also order for winding up of the society if minimum number of members falls below the statutory number i.e. 50 after giving an opportunity of being heard or where the society has not commenced its work within the period of six months of the date of its registration or such extended period as Central Registrar may allow or if the society by a resolution passed by two thirds majority of members present and voting in the general body decides for winding of the society. No Cooperative bank can be wound up except with the previous sanction of the Reserve Bank in writing.

The Central Registrar may cancel an order for winding up of a society at any time in any case where in his opinion the society should continue to exist

29.2 Appointment of Liquidator

Where the Central Registrar has made an order for the winding up of a society, he may appoint a liquidator for the purpose and fixes his remuneration. On appointment, the Liquidator has to take into his custody or under his control all the properties, effects and actionable claims to which the society is or appears to be entitled. He has to take necessary steps to prevent loss or deterioration to such property, effects and claims. He may carry on the business of the society so far as may be necessary with the previous approval of the Central Registrar.

Where an order for the winding up of the society is set aside in appeal, the properties, effects and actionable claims of the society will re-vest in the society.

29.3 Powers of liquidator

All the assets of a Society ordered for winding up will vest in the Liquidator from the date on which the order takes effect and the Liquidator will have power to realize such assets by sale or otherwise. He will exercise his powers subject to the control of the Central Registrar.

When the affairs of the society have been wound up, the Liquidator will make a report to the Central Registrar and deposit the records of the society in a place decided by the Central Registrar .

29.4 Cancellation of Registration of multi-State Co-operative Society

The Central Registrar may after considering the report of the Liquidator, order the registration of the society to be cancelled. On such cancellation, the society will stand dissolved. Such order has to be communicated by registered post to the President or the Chairperson as the case may be, of the society and to the financial institutions, if any, of which the society was a member. All the books and records of a society, whose registration has been cancelled, may be destroyed by the Central Registrar after the expiry of three years from the date of the order cancelling the registration of the society.

CHAPTER - 30

APPEAL AND REVIEW

[Sections 99 to 101 and Rule 32]

30.1 Appeal

An appeal will lie against (a) an order made by the Central Registrar refusing to register a Society, (b) refusing to register an amendment to the bye-laws, (c) refusal by the society to admit any person as a member of the society, (d) apportioning the costs of an inquiry and inspection, (e) order of repayment (f) orders of winding up of the society (g) order of the liquidator.

An appeal against any of the above decisions or orders has to be made within 60 days from the date of such decisions or orders before the authority mentioned below.

Sl.No.	Order	Appellate Authority
1.	Where the order of decision was made by the Central Registrar.	The Secretary to the Government of India in the Dept. of Agriculture and Co-operation.
2.	Where the decision or order is made by any officer of the Central Government or of the State Government of the rank of Registrar on whom powers of the Central Registrar have been conferred.	The Additional Secretary to the Government of India in the Dept. of Agriculture and Co-operation.
3.	Where the order or decision has been made by any other officer of the State Govt. on whom powers of Central Registrar have been conferred.	Chief Director (Co-operation) in the Ministry of Agriculture and Co-operation.

However, the Appellate Authority if satisfied of the reasons for delay may admit the appeal within such further period as it may deem fit. An Appeal is to be made in the form of a memorandum and to be accompanied by the original or certified copies of the orders appealed against. No appeal lies on winding up proceedings of a cooperative bank, a scheme of amalgamation or reorganization is given effect to with the previous sanction of R.B.I. and the sanction or requisition of the R.B.I. in this regard.

30.2 Review

The Appellate Authority on the application of any party may review its own order and pass such order as it thinks fit. An application in this regard has to be made within 30 days from the date of communication of the orders of the Appellate Authority sought to be reviewed. However, no application in this regard can be entertained unless the Appellate Authority is satisfied that there has been a discovery of new and important matter or evidence which after exercise of due diligence was not within the knowledge of the applicant or could not be produced by him at the time the order was made or that there has been some mistake or error apparent on the face of the record or for any other sufficient reason. No order on the review can be made unless notice has been given to all the interested parties and they have been afforded a reasonable opportunity of being heard.

CHAPTER –31
OFFENCES AND PENALTIES

[Sections 104 and 105]

- 31.1** A Society or an officer or a member wilfully making a false return or furnishing false information or any person wilfully or without any reasonable excuse disobeying any summons, requisition or lawful written order issued under the provisions of this Act or wilfully not furnishes any information required from him by a person authorized in this behalf under the provisions of this Act shall be punishable with a fine which shall not be less than Rs.2000/- and which may extend to Rs.10,000/- .
- 31.2** Any employer who without sufficient cause fails to pay to a Society the amount deducted by him from the salary of an employee of the society within a period of fourteen days from the date on which such deduction is made, is punishable with fine which may extend to Rs.5,000/- without prejudice to any action that may be taken against him under any other law.
- 31.3** Any officer or custodian who wilfully fails to hand over custody of books, accounts, documents, records, cash, security and other property belonging to a society of which he is an officer or custodian, to a person entitled under the provisions of this Act shall be punishable with fine which may extend to two thousand rupees and in the case of a continuing breach, with a further fine which may extend to five thousand rupees for every day during which the breach is continued after conviction for the first such breach.
- 31.4** Whoever, before, during or after the election of delegates or election of members of the board commits any fraudulent acts detailed in the Act are punishable with imprisonment for a term which may extend to six months or with fine or with both.

No Court inferior to that of a Metropolitan Magistrate or the first class can try any of the above offences. No prosecution for the said offences can be instituted except on a complaint filed in writing by a member of a society or by a Central Registrar in the competent Court.

PART I
ANDHRA PRADESH
COOPERATIVE SOCIETIES ACT,
1964.

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